

Structured Products

Borderline Suitability Hypotheticals

15 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: structured_products_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable

Fact Pattern

In March 2023, financial advisor Derek Huang at a mid-sized broker-dealer recommended a \$175,000 investment in a 14-month reverse convertible note linked to a basket of three pharmaceutical stocks to his client, Margaret Foley, age 62, a recently retired hospital administrator with a pension of \$78,000 annually and a total liquid portfolio of approximately \$1.4 million. The note offered a 9.2% annual coupon, paid monthly, with principal repayment at maturity contingent on none of the three underlying stocks declining more than 30% from their initial levels. If any stock breached the 30% barrier, the investor would receive shares of the worst-performing stock instead of cash principal, potentially resulting in significant loss.

Margaret's account documents listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her investment experience as '15+ years.' She had previously held a mix of municipal bonds, blue-chip equities, dividend ETFs, and two prior structured notes - one principal-protected note linked to the S&P 500 that matured in 2021, and one auto-callable note linked to a single large-cap technology stock that was called early in 2022 at a modest gain. Both prior structured notes had been profitable.

Derek prepared a one-page summary sheet for the reverse convertible that included a simplified payoff diagram, listed the three underlying pharmaceutical stocks, noted the 30% barrier level, stated the coupon rate, and included a bullet point reading 'You could lose a significant portion of your principal if one or more stocks drops more than 30%.' He spent approximately 25 minutes reviewing this document with Margaret during an in-person meeting. Margaret signed an acknowledgment form confirming she had received and reviewed the summary and understood the product involved risk to principal. The firm's product review committee had approved the reverse convertible for sale to clients with moderate or higher risk tolerance.

At the time of purchase, the three pharmaceutical stocks had trailing 12-month volatilities ranging from 32% to 41%, and one of them had a pending FDA decision on a key drug expected within the note's term. Margaret's account already held approximately \$210,000 in individual equities and equity ETFs, representing about 15% of her total portfolio. The \$175,000 reverse convertible represented 12.5% of her liquid assets.

Seven months after purchase, one of the three pharmaceutical stocks declined 47% following an unfavorable FDA ruling, breaching the barrier. At maturity, Margaret received shares of the

worst-performing stock worth approximately \$98,000 - a loss of \$77,000 on her principal, partially offset by approximately \$14,700 in coupon payments received over the note's term, for a net loss of roughly \$62,300.

Margaret filed a complaint alleging that Derek never adequately explained the downside risk, that the product was too complex and too risky for a recently retired 62-year-old, and that she believed the 30% buffer meant her investment was 'mostly safe.' Derek maintained that he clearly disclosed the risks, that Margaret had prior structured note experience, that her risk tolerance supported the recommendation, and that the position was a modest part of her overall diversified portfolio.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The reverse convertible exposed a 62-year-old retiree's principal to significant downside risk tied to the performance of individual pharmaceutical stocks - a sector known for binary event risk (FDA decisions). The 12.5% portfolio concentration in a single structured product with knock-in risk is arguably excessive for a moderate-risk-tolerance retiree whose stated objective was income with moderate growth. The 9.2% coupon, while attractive, effectively compensated for bearing equity downside risk without corresponding equity upside beyond the coupon - an asymmetric payoff that may not align with a moderate risk profile. One of the underlying stocks had a known pending FDA catalyst during the note's term, introducing event-driven binary risk that a moderate investor may not have fully appreciated. The one-page summary, while containing a risk warning, may have been insufficient to convey the true complexity of a worst-of basket reverse convertible, where correlation among the three stocks materially affects the probability of barrier breach. The client's prior structured note experience involved a principal-protected note and an auto-callable - neither of which exposed her to the same type of contingent principal loss as a reverse convertible. These are structurally different products, and prior experience with safer variants does not necessarily establish understanding of riskier ones.

Arguments against a violation: Margaret had 15+ years of investment experience, a moderate risk tolerance documented in her account profile, and prior structured note experience demonstrating familiarity with the general product category. The position represented 12.5% of her liquid portfolio - meaningful but not dominant - and her pension provided a stable income floor independent of portfolio returns. The firm's product committee had approved the note for moderate-risk-tolerance clients. Derek conducted an in-person meeting, presented a written summary with a payoff diagram and explicit risk language, and obtained a signed acknowledgment. The 9.2% coupon was consistent with her income objective. A 30% barrier on pharmaceutical stocks with 32-41% volatility, while not conservative, is within the range of reverse convertibles commonly marketed to moderate-risk investors. The loss resulted from an unforeseeable specific regulatory outcome, not from a predictably unsuitable product. The client's complaint partially reflects outcome bias - dissatisfaction driven by the loss rather than deficiency in the recommendation process.

Why Borderline

This case sits in a genuine gray zone because the client had legitimate prior structured note experience and documented moderate risk tolerance, the position sizing was significant but not extreme, the advisor did provide written disclosure and conduct an in-person explanation, and the firm had approved the product

for this risk category. However, the reverse convertible's worst-of-basket structure with pharmaceutical event risk is meaningfully more complex and dangerous than the client's prior structured note experiences, the one-page summary may have been inadequate for conveying correlation risk and asymmetric payoff profiles, and a 12.5% allocation to a product with contingent full principal loss arguably pushes the boundary of what moderate risk tolerance encompasses for a retiree. Reasonable practitioners could disagree on whether the combination of experience, disclosure, position sizing, and risk tolerance documentation was sufficient to make this recommendation appropriate.

Borderline Factors

- Client had prior structured note experience, but with materially different and safer product types (principal-protected and auto-callable vs. reverse convertible)
- 12.5% portfolio allocation is significant but not dominant, and client had stable pension income as a floor
 - Documented moderate risk tolerance could arguably encompass reverse convertibles, but the worst-of-basket structure with known pending binary catalyst pushes boundaries
 - Advisor provided written disclosure with explicit risk warning and obtained signed acknowledgment, but a 25-minute explanation of a complex worst-of-basket product may be insufficient
 - Firm product committee approved the note for moderate-risk-tolerance clients, suggesting institutional-level review supported the recommendation
 - The specific loss was driven by an FDA event that, while a known upcoming catalyst, had an uncertain outcome - raising questions about whether event-specific risk was adequately addressed
 - Asymmetric payoff profile (capped upside via coupon, uncapped downside via share delivery) may not align with stated income-with-moderate-growth objective

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that there was a violation, albeit a moderate one. The key factors tipping toward a violation would be: (1) the meaningful distinction between the client's prior structured note experience (principal-protected and auto-callable) and the reverse convertible's fundamentally different risk profile; (2) the known pending FDA binary event on one of the underlying stocks, which introduced a foreseeable concentration of event risk that arguably should have been a red flag for a moderate-risk retiree; (3) the inadequacy of a 25-minute review and one-page summary to convey worst-of-basket correlation dynamics and the full implications of barrier breach; and (4) the 12.5% allocation size for a contingent-principal-loss product in a retirement portfolio. A regulator would likely view the signed acknowledgment and moderate risk tolerance as mitigating factors that reduce the severity but do not fully excuse the recommendation. The most probable outcome would be a finding of an unsuitable recommendation with moderate sanctions - potentially restitution of net losses and a modest fine - rather than a finding of egregious misconduct.

Borderline Scenario 2

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment

Fact Pattern

Margaret Dawson, age 62, is a recently retired school principal with a \$1.4 million portfolio consisting primarily of municipal bonds, blue-chip dividend stocks, and a \$200,000 money market position. Her

account documentation lists her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' and her time horizon as 10-15 years. She receives a \$38,000 annual pension and \$22,000 in Social Security. Her monthly expenses are approximately \$4,200, meaning her pension and Social Security cover her basic needs, but she relies on portfolio income to fund travel, gifts to grandchildren, and a long-term care insurance premium of \$6,800 per year.

Her financial advisor, Craig Nolan, who has 18 years of experience and holds a Series 7 and Series 66, recommended in March 2023 that Mrs. Dawson invest \$150,000 of her money market position into a 2-year Buffered Return Enhanced Note (BREN) linked to the S&P 500. The note offered 1.5x leveraged upside participation up to a 30% cap, with a 10% downside buffer - meaning the investor absorbs no losses unless the S&P 500 declines more than 10% over the 2-year term, after which losses are experienced on a 1-for-1 basis on the amount exceeding the buffer. The note pays no coupon and is unsecured debt of a major U.S. bank rated A+. The note is non-callable and cannot be sold on a secondary market without accepting a potentially significant discount.

Nolan documented in his notes that he spent 45 minutes explaining the product to Mrs. Dawson, including the downside buffer mechanism, the leveraged upside, the cap, the credit risk of the issuing bank, and the illiquidity. He noted that Mrs. Dawson said she 'understood the tradeoffs' and was 'tired of earning nothing in the money market.' He also documented that Mrs. Dawson had previously owned a 5-year structured CD through another institution that matured at par, so she had some prior experience with structured products, though that CD had full principal protection.

Nolan's rationale was that the \$150,000 represented approximately 10.7% of Mrs. Dawson's total portfolio, the remaining \$50,000 in money market provided sufficient liquid reserves beyond her pension and Social Security, the 10% buffer provided meaningful downside protection consistent with her moderate risk tolerance, the 2-year maturity aligned with a reasonable portion of her time horizon, and the leveraged upside gave her the opportunity to generate equity-like returns on cash that was otherwise earning below the rate of inflation.

Six months later, in September 2023, Mrs. Dawson's daughter, who works as a CPA, reviewed her mother's portfolio and filed a written complaint. The daughter alleged that her mother did not truly understand the product, that the note was illiquid and inappropriate for a retiree, that the lack of any coupon income contradicted her mother's stated income objective, and that the unsecured credit risk of a single bank issuer was unsuitable. The daughter also noted that Mrs. Dawson had called Nolan in August asking if she could 'get her money back early' to help fund an unexpected home repair costing \$18,000, and was told the note could only be sold at a discount currently estimated at 3-5%.

Nolan's firm conducted an internal review and found that the product had been approved for moderate-risk accounts by the firm's product committee, that Nolan's documentation was above average compared to peers, and that Mrs. Dawson had signed a structured product risk disclosure acknowledging the illiquidity, credit risk, and potential loss of principal. However, the firm also noted that Mrs. Dawson had scored a 5 out of 12 on an optional structured product knowledge quiz that the firm had recently piloted, suggesting limited comprehension of derivative-embedded products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Nolan acted appropriately: The \$150,000 allocation represented a reasonable 10.7% of a \$1.4 million portfolio, not an outsized concentration. The product was approved by the firm's product committee for moderate-risk accounts, which matched Mrs. Dawson's documented risk profile. The 10% downside buffer provides meaningful principal protection - she would need to see the S&P 500 drop more than 10% over 2 years before experiencing any loss. Nolan documented a 45-minute explanation session and Mrs. Dawson acknowledged understanding. She had prior structured product experience (the structured CD). Her pension and Social Security covered basic living expenses, and \$50,000 remained in liquid reserves. The 2-year time horizon is relatively short for a structured note, reducing duration risk. She had expressly complained about low money market returns, suggesting she wanted to take on some incremental risk for better returns.

Arguments that Nolan violated applicable standards: Mrs. Dawson's stated investment objective was 'income with capital preservation,' yet the BREN pays no coupon and carries risk of principal loss - a direct tension with both stated goals. Her prior structured product experience was limited to a principal-protected CD, which has a fundamentally different risk profile than a buffered note with potential for loss beyond the buffer. The 5-out-of-12 quiz score, while from a pilot program, objectively suggests she did not adequately understand complex payoff structures. The illiquidity proved problematic within months when she needed funds for a home repair, suggesting her liquidity needs were not adequately assessed or that the remaining \$50,000 liquid reserve was insufficient. The leveraged upside feature serves growth-oriented investors, not income-oriented retirees. While Nolan documented the conversation well, documentation of a disclosure is not the same as genuine customer understanding, particularly for a 62-year-old retiree without financial sophistication. The credit risk concentration in a single bank issuer adds a layer of risk that Mrs. Dawson may not have appreciated relative to her diversified existing holdings.

Why Borderline

This scenario is genuinely ambiguous because the advisor followed many procedural best practices - documentation, appropriate allocation sizing, product committee approval, and customer acknowledgment - while simultaneously recommending a product whose core characteristics (no income, illiquidity, potential principal loss, leveraged equity exposure) are in tension with the customer's stated objectives of income and capital preservation. The buffer provides real downside protection that arguably makes the product moderate-risk, but the zero-coupon nature and illiquidity create a mismatch with the customer profile. The quiz score introduces an objective but non-binding data point suggesting limited comprehension, but the quiz was a pilot program with no established threshold for suitability. Reasonable compliance professionals could disagree on whether a 10.7% allocation to a buffered, 2-year note is a prudent use of idle cash or an unsuitable product for a retiree who needs income and liquidity.

Borderline Factors

- Product pays no coupon despite customer's stated income objective - but was funded from a money market position that was also generating minimal meaningful income
- Customer scored 5/12 on a product knowledge quiz suggesting limited understanding - but the quiz was a voluntary pilot with no established passing threshold and she signed full risk disclosures

- Product was illiquid and customer needed early access within 6 months - but the liquidity need was unforeseeable and \$50,000 in liquid reserves remained
- Customer's prior structured product experience was limited to a fully principal-protected CD - but she did have some familiarity with the structured product concept
- 10% downside buffer provides meaningful protection consistent with moderate risk tolerance - but losses beyond the buffer are uncapped and the leveraged upside feature is more characteristic of growth strategies
- Allocation of 10.7% is reasonable diversification - but concentration of that amount in unsecured debt of a single issuer introduces idiosyncratic credit risk
- Advisor documentation was thorough and above-average - but documentation of disclosure does not necessarily equal genuine informed consent from a retail retiree
- Firm's product committee approved the note for moderate-risk accounts - but committee approval does not substitute for individual customer-level suitability analysis

Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary finding or require enhanced supervision rather than a full violation. The strongest factor in Nolan's favor is the modest allocation size, the documented explanation, and the product committee approval. The strongest factor against him is the fundamental mismatch between a zero-coupon, illiquid, equity-linked product and a customer whose stated objectives are income and capital preservation. A regulator applying a heightened standard focused on the customer's actual understanding (rather than mere disclosure) might view the quiz score as a red flag that should have prompted Nolan to reconsider the recommendation or choose a simpler product. The most likely outcome is a finding that the recommendation was marginally unsuitable primarily due to the income objective mismatch, with mitigating factors reducing any sanction. If the note ultimately matures at or above par, the practical harm may be limited, which could influence the severity of any regulatory action.

Borderline Scenario 3

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer

Fact Pattern

Margaret Odom, age 62, is a retired school principal living in suburban Atlanta with a pension of \$4,800/month and a \$630,000 rollover IRA that represents roughly 85% of her liquid net worth. She has no mortgage and modest living expenses of approximately \$3,200/month. Her account paperwork lists her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her investment experience as 'limited - primarily mutual funds and CDs.' She has a college degree in education but no financial industry background.

In March 2023, her financial advisor, Kevin Braddock, recommended she invest \$95,000 (approximately 15% of the IRA) in a 14-month reverse convertible note linked to a basket of three large-cap technology stocks - Apple, Microsoft, and Alphabet. The note paid a fixed coupon of 11.5% annualized, with a 70% downside barrier, meaning Margaret would receive full principal back unless any of the three reference stocks declined more than 30% from their initial price during the observation period. If the barrier was

breached, she would receive shares of the worst-performing stock at maturity, potentially worth significantly less than her original investment.

Braddock documented in his notes that he spent approximately 45 minutes explaining the product to Margaret during an in-person meeting. He used a visual diagram showing the payoff structure and barrier levels, and Margaret signed an acknowledgment form stating she understood the risks, including the possibility of losing a substantial portion of principal. Braddock's notes also reflect that Margaret expressed interest in 'getting better yield than CDs' and that she asked about the product after seeing a brochure in the office waiting area. Braddock earned a 2.75% commission on the sale, compared to approximately 0.50% on comparable fixed-income alternatives.

At the time of the recommendation, the three reference stocks had trailing twelve-month returns between 28% and 52%, and implied volatility on all three was elevated relative to five-year averages. The S&P 500 had risen approximately 14% year-to-date. Margaret's remaining IRA assets were allocated across a balanced mutual fund (40%), a short-term bond fund (30%), and a money market fund (15%).

By January 2024, one of the reference stocks had briefly breached the 30% barrier during an intra-period observation due to a broad tech selloff, and Margaret received shares of the worst performer at maturity, resulting in a net loss of approximately \$22,400 (23.6% of her investment). Margaret filed a complaint alleging she was told the product was 'almost like a CD with a higher interest rate' and that she never truly understood she could lose nearly a quarter of her money. Braddock maintains she was fully informed and that the recommendation was appropriate given the strong fundamentals of the reference stocks, the 30% downside cushion, her desire for enhanced income, and the fact that \$95,000 represented a manageable portion of her portfolio.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Margaret is a 62-year-old retiree with limited investment experience, primarily in plain-vanilla products like mutual funds and CDs. Her stated risk tolerance was moderate, and the IRA constituted the vast majority of her liquid net worth. Reverse convertibles are complex structured products that embed a short put option, exposing the investor to full downside equity risk in exchange for an above-market coupon. Regulatory guidance has consistently warned that these products are frequently unsuitable for retail investors, particularly those seeking income, because the enhanced yield compensates for a risk many retail investors do not fully appreciate - namely, the asymmetric payoff where upside is capped at the coupon but downside can be severe. The 2.75% commission versus 0.50% on alternatives raises questions about whether the recommendation was driven by compensation rather than client need. The elevated implied volatility at the time of purchase actually increased the probability of a barrier breach, meaning the embedded option sold by Margaret was more valuable - benefiting the issuer and the advisor's commission, not the client. A 15% concentration in a single structured product within a retirement account is significant for someone with limited sophistication.

Arguments against a violation: The \$95,000 investment represented approximately 15% of the IRA, leaving 85% in conservative balanced and fixed-income holdings. The overall portfolio remained moderate in risk

profile even with the reverse convertible. The 70% barrier provided meaningful downside protection - a 30% decline in large-cap blue-chip technology stocks over 14 months would be historically unusual, though not unprecedented. Braddock documented a 45-minute explanation with visual aids, and Margaret signed a written acknowledgment of risks. The product was not speculative on its face - it was linked to three of the most widely held, financially strong companies in the world. Margaret herself initiated interest after seeing a brochure, suggesting she was not pressured. The 11.5% coupon significantly exceeded what she could earn on CDs or bonds in the prevailing rate environment, directly addressing her stated goal of enhanced income. A moderate risk tolerance does not preclude all equity-linked exposure, and the barrier structure was specifically designed to reduce (though not eliminate) downside risk.

The core tension is whether a well-documented sales process and reasonable portfolio allocation can overcome concerns about product complexity relative to investor sophistication, the asymmetric risk profile of reverse convertibles, and the compensation differential that may have influenced the recommendation.

Why Borderline

This is genuinely ambiguous because the advisor took meaningful steps to document the recommendation and educate the client, the allocation was not recklessly large relative to total assets, and the reference stocks were blue-chip names with a substantial barrier cushion. However, the client profile - retired, limited experience, moderate risk tolerance, IRA assets - fits the classic pattern regulators have flagged as problematic for reverse convertible sales. The elevated implied volatility at the time of purchase is a subtle but important factor that cuts against the advisor, as it suggests the embedded risk was higher than the barrier level alone would suggest. The commission differential is notable but not extreme. Reasonable practitioners could disagree on whether the documented disclosure process was sufficient to make this product appropriate for this client, or whether the structural complexity and asymmetric risk made it inherently unsuitable regardless of disclosure.

Borderline Factors

- Client initiated interest in the product after seeing a brochure, suggesting some degree of self-direction rather than pure advisor solicitation
- 15% allocation is material but not dominant - 85% of IRA remained in conservative holdings
- Advisor documented a 45-minute explanation with visual aids and obtained signed risk acknowledgment
- Client's limited investment experience and education background (non-financial) raises questions about whether true understanding was achieved despite documentation
- Elevated implied volatility at time of purchase increased the actual probability of barrier breach beyond what a layperson might infer from the 30% cushion description
- Commission differential (2.75% vs. 0.50%) is meaningful but not egregious by structured product standards
- Reference stocks were among the highest-quality, most liquid equities available - not speculative or obscure names
- Product was purchased within a retirement account, heightening the duty of care given the account's importance to the client's financial security
- Client's allegation that she was told the product was 'almost like a CD' directly contradicts the advisor's documentation - credibility determination required

Likely Outcome

A regulator would more likely than not find a violation, though the case is close. The combination of the client's age, retirement status, limited experience, and moderate risk tolerance - set against a complex product with embedded short-option risk in a retirement account - fits squarely within the profile that regulatory guidance has identified as problematic. While the advisor's documentation was stronger than in many enforcement cases, regulators have emphasized that signed acknowledgment forms do not by themselves establish that a client truly understood a complex payoff structure. The elevated implied volatility at the time of purchase, which a sophisticated advisor should have recognized as increasing barrier-breach probability, and the meaningful commission differential would likely be viewed as aggravating factors. However, the reasonable allocation size and blue-chip reference stocks would likely result in a finding at the lower end of the sanctions spectrum rather than a severe outcome.

Borderline Scenario 4

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) - requiring that a recommended transaction be suitable

Fact Pattern

Margaret Ellison, age 74, is a retired pharmaceutical executive who earned a peak salary of \$310,000 annually before retiring in 2016. She holds a bachelor's degree in chemistry and an MBA. Her investment accounts total approximately \$2.8 million, split between a \$1.6 million brokerage account and a \$1.2 million IRA. She receives \$4,200 per month in Social Security and a \$3,800 monthly pension, giving her roughly \$96,000 in annual fixed income. She owns her home outright. Her stated investment objective on her new account form, completed in March 2023, is 'growth and income' with a 'moderate' risk tolerance and a 7-to-10-year time horizon. She has no immediate liquidity needs beyond her monthly expenses, which total approximately \$5,500 per month.

Her financial advisor, Kevin Driscoll, age 41, has been in the industry for 15 years and has held the account since 2021. In April 2023, Driscoll recommended that Margaret invest \$280,000 - roughly 10% of her total portfolio - in a series of three reverse convertible notes linked to individual large-cap technology stocks (one linked to a major semiconductor company, one to a leading cloud computing firm, and one to a prominent electric vehicle manufacturer). Each note had a 13-month maturity, offered a coupon of 11.5% to 14.2% annualized, and included a knock-in barrier set at 65% of the initial stock price. If any underlying stock fell below the 65% barrier at any point during the term, Margaret could receive shares of the depreciated stock instead of her principal at maturity.

Driscoll explained the products to Margaret during two meetings, each lasting approximately 45 minutes. He provided the pricing supplements and a one-page summary sheet he had prepared that described the coupon, the maturity, and the knock-in barrier. His notes from the meetings indicate Margaret asked several questions, including 'What happens if the stock drops 40%?' to which he responded that she would receive shares worth less than her investment. His notes also reflect that Margaret said she 'understood the downside risk but liked the income.' Margaret signed an acknowledgment form stating she understood the product was not principal-protected and that she could lose a significant portion of her investment.

The \$280,000 allocation represented approximately 17.5% of her brokerage account. Her remaining

brokerage holdings included \$620,000 in diversified equity mutual funds, \$480,000 in investment-grade bond funds, and \$220,000 in money market funds. Her IRA held a mix of target-date funds and Treasury securities.

By July 2023, the semiconductor stock had fallen 38% from its reference price, breaching the knock-in barrier. At maturity in May 2024, it had partially recovered but was still down 22%, resulting in Margaret receiving shares worth approximately \$72,800 instead of her \$95,000 principal on that note - a loss of roughly \$22,200 before accounting for the coupon payments she received (\$10,925 on that note). The other two notes matured above their barriers, and Margaret received full principal plus coupons totaling approximately \$23,400.

Margaret filed a complaint in June 2024, alleging that Driscoll should never have recommended these products to a 74-year-old retiree and that she did not truly understand the asymmetric risk profile - that she was essentially selling put options on volatile technology stocks in exchange for enhanced income. She stated that while she understood she could lose money, she did not appreciate that her maximum gain was capped at the coupon while her downside was potentially catastrophic. Driscoll maintains that Margaret was a sophisticated investor with an MBA and decades of corporate experience, that the allocation was moderate relative to her total wealth, that her fixed income covered all living expenses with surplus, that she had no near-term liquidity needs, and that she engaged substantively with the product details before investing.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between investor protection principles for senior investors and the financial profile of a relatively sophisticated, well-resourced retiree.

Arguments that Driscoll violated applicable standards:

1. Reverse convertibles are identified in FINRA Regulatory Notice 10-09 as complex products requiring heightened scrutiny. The notice specifically warns that the asymmetric payoff profile - capped upside via coupon, significant downside exposure - may not be suitable for investors seeking income, because the enhanced yield compensates for embedded short put option risk that many retail investors do not fully appreciate.
2. FINRA RN 12-03 on complex products emphasizes that firms and representatives must ensure customers understand the product's risks, costs, and features, and that a customer's general sophistication does not substitute for product-specific understanding. Margaret's complaint that she did not grasp the asymmetric payoff - essentially that she was writing put options - suggests the disclosure process may have been insufficient despite Driscoll's two meetings.
3. Under FINRA Rule 2111 (suitability) and Regulation Best Interest, recommendations must be in the customer's best interest considering her age, investment profile, and specific situation. Margaret is 74, retired, and while she has adequate income and assets, the question is whether a product with equity-like

downside risk and bond-like upside is appropriate when she could achieve income through less complex, lower-risk instruments (e.g., high-quality corporate bonds, CDs, or even dividend-paying equities with full upside participation).

4. FINRA RN 09-73 specifically addresses suitability concerns with reverse convertibles, noting that the embedded short put option creates risk that may be inconsistent with income-oriented or conservative investors' profiles.

5. Margaret's age triggers heightened obligations under various regulatory frameworks addressing senior investors. Even a sophisticated senior may experience cognitive changes, and the product's complexity - involving barrier options, conditional principal return, and single-stock concentration risk - warrants particular caution.

6. The notes were linked to individual volatile technology stocks rather than broad indices, amplifying concentration and sector risk. Three single-stock positions across one sector is a material concentration within the structured product allocation itself.

Arguments that Driscoll acted appropriately:

1. The \$280,000 allocation represented only 10% of Margaret's total \$2.8 million portfolio and 17.5% of her brokerage account. Her remaining assets were well-diversified across equities, bonds, and cash. Even a total loss on all three notes (an extreme scenario) would have reduced her portfolio by only 10%, leaving \$2.52 million - still substantial for her needs.

2. Margaret's fixed income (\$96,000/year) exceeded her annual expenses (\$66,000/year) by \$30,000, meaning she had no dependence on portfolio income or principal for living expenses. The structured notes were arguably invested with surplus capital.

3. Margaret holds an MBA, spent decades as a pharmaceutical executive, and had a stated 7-to-10-year time horizon with moderate risk tolerance. She was not an unsophisticated retiree unfamiliar with financial concepts.

4. Driscoll conducted two substantive meetings, provided the pricing supplements, prepared a summary document, documented Margaret's questions (including one specifically about a 40% decline scenario), and obtained a signed acknowledgment. This represents meaningful disclosure effort.

5. Margaret's question about a 40% stock decline demonstrates she was engaging with the actual risk scenario that materialized, suggesting she did in fact understand the downside.

6. The 65% knock-in barrier provided a meaningful buffer - stocks had to fall 35% before principal was at risk. This is not an unreasonable risk parameter for a moderate-risk investor with surplus capital.

7. The actual net loss across all three notes was approximately \$11,275 before tax considerations (\$22,200 loss on the semiconductor note minus \$10,925 coupon received on that note, offset by \$23,400 in coupons

on the other two notes which returned full principal). In net economic terms, Margaret made approximately \$12,125 across the three positions combined.

8. Under Reg BI's care obligation, a recommendation need not be the optimal or lowest-cost option; it must be in the customer's best interest considering reasonably available alternatives. Given Margaret's profile, one could argue the recommendation, while not conservative, was within the range of reasonable options.

Why Borderline

This case sits at the intersection of several competing considerations. Margaret's age and retiree status trigger heightened concern under senior investor protection frameworks, and reverse convertibles are products that regulators have repeatedly flagged as problematic for retail investors. However, Margaret is genuinely sophisticated by education and professional background, the allocation was modest relative to her total wealth, she had no liquidity needs, her fixed income exceeded expenses, and the advisor conducted meaningful disclosure. The net economic outcome across all three notes was actually positive. Reasonable regulators could disagree on whether a 74-year-old - even one with these favorable characteristics - should be recommended products with embedded short put options on volatile single-name technology stocks, or whether her profile sufficiently justified the recommendation.

Borderline Factors

- Margaret's age (74) and retiree status trigger senior investor protection concerns, but her financial sophistication, MBA, and decades of corporate executive experience mitigate those concerns
- The 10% portfolio allocation is modest, but 17.5% of the brokerage account is more significant, and the concentration in single-name technology stocks adds risk
- Reverse convertibles are flagged by regulators as frequently unsuitable for retail investors, but Margaret's surplus income and lack of liquidity needs distinguish her from typical retail complainants
- Driscoll's documentation of two meetings, customer questions, and signed acknowledgment suggests meaningful disclosure, but the complaint alleges Margaret did not understand the asymmetric payoff despite this process
- The net economic result across all three notes was positive (approximately \$12,125 gain), undermining a damages theory but not dispositively addressing suitability at the time of recommendation
- Margaret's question about a 40% decline scenario suggests she engaged with the precise risk that materialized, cutting against her claim of misunderstanding
- The products offered 11.5-14.2% coupons in a period when high-quality bonds yielded roughly 4.5-5.5%, and the question is whether the excess yield adequately compensated for the embedded option risk for this investor
- Margaret stated she 'understood the downside risk but liked the income,' creating a tension between her contemporaneous statements and her post-loss complaint

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that Driscoll's recommendation was at the outer boundary of acceptability rather than a clear violation. The most likely outcome would be a cautionary letter or heightened supervision recommendation rather than a formal finding of violation. Key factors favoring Driscoll: the modest allocation size, Margaret's genuine sophistication, documented disclosure efforts, her surplus income, and the net positive economic outcome. However, a panel could also reasonably find a violation based on the regulatory guidance specifically

cautioning against reverse convertible sales to income-seeking retirees and the inherent tension between a 74-year-old's profile and products embedding short volatility exposure on single-name technology stocks. If the case went to arbitration, the likely outcome would be a small award (perhaps 30-50% of the net loss on the semiconductor note after coupon offset) or a dismissal, depending heavily on how credibly Margaret testified about her understanding at the time of purchase versus her post-loss perspective.

Borderline Scenario 5

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment strate

Fact Pattern

Margaret Hollis, age 62, is a recently retired school principal with a \$1.4 million rollover IRA, a \$200,000 savings account, and a modest pension providing \$3,800 per month. She has no mortgage and lives modestly. Her stated investment objectives on account documents are 'income with moderate growth' and her risk tolerance is listed as 'moderate.' She has prior experience owning individual stocks, bond mutual funds, and one variable annuity purchased in 2014. Her financial advisor, Derek Yamamoto, has worked with her for nine years and considers her a knowledgeable client who regularly reads financial publications and asks detailed questions about investments.

In March 2023, Yamamoto recommended that Hollis allocate \$280,000 (20% of her IRA) into a basket of three reverse convertible notes tied to large-cap technology stocks (Apple, Microsoft, and Alphabet), each with a 14-month maturity, paying a coupon of 9.5% annually. The notes included a 70% downside barrier, meaning principal would be at risk only if any underlying stock declined more than 30% from its initial price at maturity. The embedded fees and commissions totaled approximately 3.2%, which Yamamoto disclosed verbally and in the offering documents. Comparable investment-grade corporate bonds were yielding approximately 5.2% at the time.

Yamamoto presented Hollis with the term sheets for each note and spent approximately 45 minutes explaining the payoff structure, including a diagram showing outcomes if any stock breached the barrier. Hollis signed an acknowledgment form stating she understood the product could result in loss of principal if any underlying stock fell below the barrier level. She also signed a general risk disclosure for structured products. Yamamoto documented in his notes that Hollis said she was 'comfortable with the risk given the strong fundamentals of the companies' and that she wanted higher income than bonds were providing.

By May 2024, all three notes matured without any barrier breach, and Hollis received her full principal back plus the 9.5% coupon payments, netting approximately \$26,600 in income before the 3.2% in fees. However, during the holding period, all three underlying stocks appreciated between 18% and 34%, meaning Hollis's upside was capped at the coupon while she bore downside equity risk. She filed a complaint in August 2024 after reading an article about reverse convertible losses suffered by other retirees, alleging the 3.2% fees were excessive, the product was too complex and risky for a retiree, and that Yamamoto should have recommended a diversified bond portfolio or dividend stock fund instead.

Yamamoto's firm's product committee had approved reverse convertibles for clients with moderate risk

tolerance and a minimum net worth of \$500,000. The firm's internal guidelines permitted up to 25% of a retirement account to be allocated to structured products. Yamamoto had sold reverse convertibles to 38 clients that year, with an average commission of 2.8%. His overall book generated 47% of revenue from structured products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Yamamoto violated applicable standards: (1) Reverse convertibles are complex products that give the investor equity-like downside risk in exchange for a fixed coupon with no upside participation beyond the coupon - essentially the investor is short a put option on the underlying stocks. For a 62-year-old retiree whose stated objective is income with moderate growth, bearing concentrated downside exposure to three technology stocks may not align with her profile, regardless of the favorable outcome. (2) The 3.2% embedded fee structure is significant: the all-in cost substantially reduces the net yield advantage over investment-grade bonds. When comparing the 9.5% coupon minus the annualized cost of roughly 2.7% (3.2% over 14 months) against the 5.2% available on comparable corporate bonds, the incremental yield of approximately 1.5-2% must be weighed against the risk of potentially losing 30%+ of principal - a risk-reward asymmetry that may not serve a retiree drawing on these assets. (3) Nearly half of Yamamoto's revenue comes from structured products, creating a potential conflict of interest that influences recommendation patterns. (4) The \$280,000 allocation represents 20% of her primary retirement account, which is a meaningful concentration in a product class where the investor bears meaningful tail risk. (5) Regulatory guidance has specifically highlighted concerns about reverse convertibles sold to retail investors, particularly retirees, noting that the yield enhancement often does not adequately compensate for the embedded risks.

Arguments that Yamamoto acted appropriately: (1) Hollis was not an unsophisticated investor - she had nine years of investment experience with Yamamoto, owned a variable annuity (itself a complex product), read financial publications, and asked detailed questions. The 45-minute explanation with diagrams and signed acknowledgment forms suggest genuine informed consent. (2) The 20% allocation was within the firm's approved guidelines of 25% for structured products in retirement accounts, and she met the minimum net worth threshold by a wide margin. (3) The underlying stocks were among the most liquid, widely followed large-cap names in the market - not speculative or volatile small-caps - and the 70% barrier provided a meaningful cushion against losses. (4) Hollis explicitly stated she wanted higher income than bonds provided, and the 9.5% coupon delivered meaningfully more income than the 5.2% available on comparable bonds. The product achieved exactly what it was designed to do. (5) The 3.2% commission, while above average, included structuring costs inherent to the product and was not dramatically above the firm's average of 2.8% on similar products. (6) The complaint appears motivated by hindsight - reading about other investors' losses - rather than any actual harm, since Hollis received full principal plus coupon payments. (7) Hollis had ample remaining assets (\$1.12 million in IRA plus \$200,000 savings plus pension) providing substantial liquidity and income beyond the structured notes.

Why Borderline

This case sits in a genuine gray area because the customer profile contains conflicting signals: she is a retiree (suggesting conservative needs) but also experienced and explicitly seeking yield enhancement

(suggesting sophistication and intentional risk-taking). The product performed as intended and the client suffered no loss, yet the structural risk-reward asymmetry of reverse convertibles - capped upside with substantial downside - raises questions about whether the product was appropriate regardless of outcome. The fees are elevated but not egregiously so, and the allocation was within firm guidelines but still represents a significant portion of retirement assets in a complex instrument. The advisor's heavy reliance on structured product revenue could indicate a pattern of steering clients toward higher-commission products, or it could simply reflect a specialty practice with genuinely interested clients.

Borderline Factors

- Client is a retiree with income objectives but also demonstrated investment sophistication and explicitly requested higher-yielding alternatives
- 3.2% embedded fees are above average but within a range seen across the structured products market; the net yield still exceeded bond alternatives
- 20% IRA allocation is meaningful but fell within firm-approved guidelines and the client had substantial additional assets and pension income
- Reverse convertibles inherently create asymmetric risk (equity downside, capped upside) that may be structurally misaligned with retirement income goals regardless of client understanding
- 47% of advisor revenue from structured products suggests potential pattern of steering but does not prove unsuitability in any individual case
- Extensive disclosure process with signed acknowledgments and documented client statements of understanding
- Product actually performed well and client filed complaint only after reading about others' losses, raising question of whether harm occurred
- Underlying stocks were blue-chip large-caps with a 30% barrier cushion, representing relatively conservative reverse convertible selection

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a suitability violation, particularly given the documented disclosure process, the client's demonstrated sophistication, the product performing as described, the allocation being within firm guidelines, and the client's ample remaining assets and pension. However, the regulator might issue a cautionary letter or heightened supervisory requirement regarding Yamamoto's disproportionate reliance on structured product sales and might scrutinize whether the 3.2% fee was adequately justified relative to lower-cost alternatives. If a pattern of similar sales to less sophisticated retirees were found across Yamamoto's book, the outcome could shift significantly. The lack of actual financial loss weakens the complaint, though regulators have noted that suitability is evaluated at the time of recommendation, not based on outcome.

Borderline Scenario 6

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative co*

Fact Pattern

Marcus Wellingham, a financial advisor at a regional broker-dealer in Scottsdale, Arizona, recommended a series of reverse convertible notes to his client, Dr. Priya Ramanathan, a 58-year-old interventional

cardiologist earning approximately \$780,000 per year with a liquid net worth of roughly \$4.2 million. Dr. Ramanathan had been Wellingham's client for eleven years. Her account documentation listed her investment objective as 'growth with income' and her risk tolerance as 'moderate to aggressive.' She held a diversified portfolio of equities, municipal bonds, and some alternative investments including a small allocation to a private REIT.

In March 2022, Wellingham recommended that Dr. Ramanathan invest \$350,000 across four separate reverse convertible notes, each linked to a different large-cap technology stock (Apple, Microsoft, Nvidia, and Amazon). The notes had 6-month maturities, offered coupons ranging from 8.5% to 12.2% annualized, and each contained a knock-in barrier set at 70% of the initial fixing price. The total allocation represented approximately 8.3% of her liquid portfolio.

Wellingham's notes from the meeting indicate he explained that the products paid 'enhanced income' and that she could lose principal if the underlying stocks declined more than 30%. He documented that he showed her a payoff diagram and that she 'understood the risk of receiving shares instead of cash at maturity.' Dr. Ramanathan signed acknowledgment forms for each note.

However, the new account form and risk questionnaire on file had not been updated since 2018 - four years earlier. In 2020, Dr. Ramanathan had gone through a divorce that reduced her liquid assets by roughly \$1.5 million, and she had mentioned to Wellingham in a phone call in January 2021 that she was 'starting to think more about retirement planning and preserving what I have.' Wellingham did not update her account profile after this conversation. The 2018 profile still listed her as married with \$5.7 million in liquid assets.

By September 2022, the Nvidia-linked reverse convertible had breached its knock-in barrier during the broad tech selloff, and Dr. Ramanathan received 1,420 shares of Nvidia valued at approximately \$170,000 - a loss of roughly \$17,500 on that single note relative to par. The other three notes matured at par plus coupon. Across all four positions, she earned approximately \$16,800 in coupon income and suffered the \$17,500 loss on the Nvidia note, netting to a small overall loss of about \$700.

Dr. Ramanathan filed a complaint alleging that Wellingham never properly updated her profile, that she did not truly understand the downside mechanics of the reverse convertibles, and that had he known her actual financial situation and evolving goals, he would not have recommended these products. Wellingham contends that Dr. Ramanathan was a sophisticated, high-income investor who had previously held individual tech stocks, that the allocation was modest relative to her portfolio, that the products performed largely as expected, and that she verbally confirmed her understanding of the risks before purchasing.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between procedural compliance failures and substantive suitability. On one hand, Wellingham clearly failed to update Dr. Ramanathan's account profile for four years despite being aware of material life changes - a divorce reducing her assets by over \$1.5 million and an expressed shift toward capital preservation. Under FINRA Rule 2111 and its 'know your customer' component (FINRA Rule 2090), a broker must make reasonable efforts to know the essential facts concerning a customer,

including their current financial situation and investment objectives. FINRA Regulatory Notices 09-73 and 12-03 specifically emphasize that structured products like reverse convertibles demand heightened suitability analysis given their complexity, and that firms must ensure customers understand the payoff structures and risks. The fact that the customer profile on file showed \$5.7 million in liquid assets and a married filing status - neither of which was accurate - suggests the recommendation was evaluated against stale data.

Under Regulation Best Interest, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the product and the customer's profile, and to form a reasonable basis that the recommendation is in the customer's best interest. The failure to update the profile could be viewed as a failure to exercise reasonable diligence in understanding the customer's current situation.

On the other hand, even with the corrected profile (\$4.2 million liquid, single, shifting toward preservation), there are credible arguments that the recommendation was still within bounds. The \$350,000 allocation was 8.3% of her liquid portfolio - not a concentration that would typically raise red flags. The underlying stocks were mega-cap, highly liquid names she already had familiarity with through her existing equity holdings. The 70% knock-in barriers provided meaningful downside protection. Wellingham documented the conversation, showed a payoff diagram, and obtained signed acknowledgments. Dr. Ramanathan's income of \$780,000 annually suggests she could absorb even a total loss on these positions without material harm to her lifestyle. Her risk tolerance was 'moderate to aggressive,' and while her 2021 comment about preservation is important, it was informal and did not constitute a formal account objective change.

FINRA RN 10-09 highlights that reverse convertibles combine a debt instrument with a put option sold by the investor to the issuer, and that the coupon compensates for this embedded short put risk. The notice stresses that brokers must ensure the customer understands this dynamic. Wellingham's documentation suggests he made an effort, though the adequacy of a single meeting with a payoff diagram versus more robust education materials could be debated.

The near-breakeven outcome (net loss of only \$700 across all four notes) significantly weakens the damages argument, though suitability violations can exist independent of outcome. The procedural failure to update the customer profile is the strongest element of the case, but the question is whether this procedural lapse materially affected the suitability analysis or whether the recommendation would have been reasonable even with accurate, updated information.

Why Borderline

The core tension is between a clear procedural failure (not updating the customer profile for four years despite known material life changes) and a recommendation that may have been substantively reasonable even under the corrected profile. The allocation was modest, the underlying references were blue-chip stocks the client was familiar with, and the client signed acknowledgment forms. However, the stale profile, the client's informal but documented shift toward preservation goals, and the inherent complexity of reverse convertibles - where the investor bears asymmetric downside risk - create a credible argument that the advisor did not adequately know his customer at the time of the recommendation. Reasonable regulators could disagree on whether the procedural lapse was outcome-determinative or merely a documentation deficiency.

Borderline Factors

- Customer profile was four years out of date and reflected incorrect marital status and inflated liquid net worth
- Client verbally expressed a shift toward capital preservation 14 months before the recommendation, but never formally updated objectives
- Allocation represented only 8.3% of corrected liquid portfolio - modest by most standards
- Client had prior experience with individual equities including technology stocks
- Reverse convertibles are flagged by regulators as complex products requiring heightened scrutiny
- Advisor documented the meeting, showed payoff diagrams, and obtained signed acknowledgments
- Client's high income (\$780,000) provided substantial ability to absorb potential losses
- Near-breakeven outcome minimizes actual damages despite potential procedural violation
- The informal nature of the client's preservation comment versus a formal account objective change
- Client's stated risk tolerance was 'moderate to aggressive' even if objectives were evolving

Likely Outcome

A regulator would most likely find a violation, primarily grounded in the failure to update the customer profile and the resulting failure to adequately know the customer at the time of the recommendation. While the recommendation may have been defensible on its merits given the corrected profile, the four-year lapse in updating material information - especially after being informed of a major life event and a shift in investment philosophy - represents a failure to meet the reasonable diligence standard. The regulator would likely issue a finding of a suitability violation with mitigated sanctions, given the modest allocation, partial documentation of risk disclosure, and minimal customer harm. The advisor would likely face a fine and a requirement for enhanced supervision rather than a suspension, and the firm would face criticism for its failure to implement periodic account review procedures for clients holding complex products.

Borderline Scenario 7

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative s*

Fact Pattern

Margaret Paulson, age 64, is a retired school administrator with a pension of \$4,200 per month and \$1.1 million in investable assets held across two brokerage accounts. She has a stated investment objective of 'income with moderate growth' and a risk tolerance marked as 'moderate' on her new account form, which was completed in January 2023. Her account form also notes 15 years of investment experience, primarily in mutual funds and individual bonds, though she once held a small position in an equity-linked CD through her bank.

In March 2023, her financial advisor, Derek Simmons, recommended she invest \$150,000 (approximately 13.6% of her portfolio) in a 14-month reverse convertible note linked to the common stock of a large-cap pharmaceutical company. The note offered a 9.5% annualized coupon, paid monthly, with a 70% barrier-meaning Margaret's principal would be fully returned unless the reference stock declined more than 30% from its initial level at any point during the observation period. If the barrier were breached and the stock closed below the initial price at maturity, Margaret would receive shares of the pharmaceutical stock

instead of her full principal, potentially at a significant loss.

Simmons had covered Margaret's account for three years. He noted in his internal CRM that during a 40-minute phone call, he explained the product's coupon, the barrier level, and the risk of receiving shares instead of cash. His notes state: 'Client understood the downside scenario and was attracted to the yield versus her current bond ladder yielding approximately 4.2%. She asked about the pharmaceutical company's dividend history and seemed comfortable with the stock. She said she wanted more income for travel and gifts to grandchildren.' There is no record of a follow-up written summary sent to Margaret, and no record that Simmons used the firm's structured product explanation brochure, though firm policy 'strongly recommended' but did not require its use.

Margaret's existing portfolio consisted of \$620,000 in investment-grade corporate and municipal bonds, \$280,000 in a diversified equity mutual fund, \$90,000 in a money market fund, and \$110,000 in blue-chip dividend stocks. She had no prior experience with structured notes, reverse convertibles, or derivatives of any kind-the equity-linked CD she previously held was fully principal-protected.

The pharmaceutical stock declined 34% during a sector-wide downturn in August 2023, breaching the barrier. By the note's maturity in May 2024, the stock had partially recovered but still closed 18% below the initial level. Margaret received shares worth approximately \$123,000 instead of her \$150,000 principal, a loss of \$27,000. Including the \$13,300 in coupon payments she received, her net loss was approximately \$13,700.

Margaret filed a complaint stating she believed the product was 'like a higher-paying bond' and did not understand she could lose principal. Simmons counters that her moderate risk tolerance, 15 years of experience, the concentrated 13.6% allocation, the large-cap nature of the reference stock, and the 70% barrier made this a reasonable income-enhancing recommendation. The firm's product committee had approved the reverse convertible for sale to moderate-risk clients with liquid net worth above \$500,000, and Margaret met those internal thresholds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension between several competing factors.

****Arguments that Simmons violated applicable standards:****

1. ****Failure to adequately know the customer's knowledge and experience****: Under FINRA Rule 2111 (the suitability rule) and its three component obligations-reasonable-basis, customer-specific, and quantitative suitability-an advisor must make reasonable efforts to understand the customer's investment profile, including investment experience and knowledge. Margaret had zero experience with structured products, reverse convertibles, or derivatives. Her only remotely comparable holding was a principal-protected equity-linked CD, which is functionally the opposite of a reverse convertible in terms of downside risk. FINRA Regulatory Notice 12-03 emphasizes that a customer's lack of experience with complex products is a critical suitability factor that should be weighed heavily.

2. **Complexity mismatch**: FINRA Regulatory Notices 09-73 and 10-09 specifically warn that reverse convertibles are complex products whose risk-return profiles are frequently misunderstood by retail investors. RN 10-09 notes that reverse convertibles combine a debt instrument with a put option written by the investor, meaning the investor bears downside equity risk while receiving only a fixed coupon-not the equity upside. Margaret's complaint that she believed the product was 'like a higher-paying bond' is consistent with the pattern of misunderstanding these notices describe.

3. **Documentation deficiency**: Although Simmons's CRM notes describe a 40-minute conversation, he did not use the firm's structured product explanation brochure (which the firm 'strongly recommended'), did not send a written follow-up summary, and did not document Margaret's understanding in any verifiable way. Under Regulation Best Interest's care obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest. Inadequate documentation of the customer's understanding weakens the advisor's defense.

4. **Retirement status and income orientation**: A 64-year-old retiree seeking income is a classic profile where regulators scrutinize complex, principal-at-risk products. FINRA Rule 2010 (standards of commercial honor) could be implicated if the recommendation was inconsistent with the customer's genuine needs.

Arguments that Simmons acted appropriately

1. **Internal thresholds met**: Margaret met the firm's product committee criteria for moderate-risk clients with liquid net worth above \$500,000. The firm had approved the product category for this client profile.

2. **Reasonable allocation**: The \$150,000 investment represented 13.6% of her portfolio, not an outsized concentration. The remainder of her portfolio was conservatively positioned in investment-grade bonds, diversified equity, and money market funds.

3. **The product's structural protections**: A 70% barrier on a large-cap pharmaceutical stock provides meaningful downside cushion. It took a sector-wide downturn to breach it. The 9.5% coupon was more than double her bond ladder's yield, addressing her stated desire for enhanced income.

4. **Documented conversation**: Simmons did speak with Margaret for 40 minutes and noted key topics discussed, including the downside risk of receiving shares. While not a perfect record, this is more than a cursory discussion.

5. **Stated experience and risk tolerance**: Margaret self-reported 15 years of investment experience and a moderate risk tolerance. Advisors are generally entitled to rely on customer-provided information unless red flags suggest otherwise.

6. **Net loss context**: The net loss of \$13,700 (after coupon income) on a \$150,000 investment in a moderate-risk portfolio is not catastrophic. The loss was driven by an unusual sector-wide event.

****Reg BI analysis**:** Under Regulation Best Interest, effective since June 30, 2020, Simmons had a duty to act in Margaret's best interest at the time of the recommendation, considering reasonably available alternatives. The key question is whether a lower-risk income alternative (e.g., higher-yielding corporate bonds, preferred stock, or a principal-protected note) would have better served her needs without the complex downside risk she may not have understood. The fact that principal-protected notes existed as alternatives-products Margaret had prior experience with-cuts against Simmons.

Why Borderline

This is genuinely borderline because the advisor did conduct a substantive conversation, the allocation was moderate, the product had a meaningful barrier, the client met firm-imposed suitability thresholds, and the client self-reported moderate risk tolerance and 15 years of experience. However, the client had zero experience with the specific product category, the documentation of her understanding was thin, she was a retiree primarily seeking income, and her post-hoc description of the product as 'like a higher-paying bond' is consistent with the well-documented pattern of retail investor misunderstanding of reverse convertibles. Reasonable compliance officers, arbitrators, and regulators could reach different conclusions depending on how much weight they give to the advisor's conversation versus the client's evident lack of comprehension.

Borderline Factors

- Client self-reported 'moderate' risk tolerance and 15 years of experience, but had zero experience with structured products or derivatives
 - Advisor conducted a 40-minute phone call discussing downside risk, but did not use the firm's recommended explanation brochure or send a written follow-up
 - Allocation of 13.6% is meaningful but not excessive for a \$1.1 million portfolio
 - 70% barrier on a large-cap stock provided significant but not absolute downside protection
 - Client's only prior 'structured' product experience was a principal-protected CD-the functional opposite of a reverse convertible in terms of principal risk
 - Firm's product committee had approved the product for this client tier, suggesting institutional-level reasonable-basis suitability was met
 - Client's stated income need was genuine and the coupon significantly exceeded her bond ladder yield
 - Client's post-complaint characterization of the product as 'like a higher-paying bond' suggests fundamental misunderstanding despite the advisor's conversation
 - Principal-protected notes or higher-yield corporate bonds existed as potentially less complex alternatives for generating enhanced income

Likely Outcome

A regulator or arbitration panel would most likely find a violation, though it would be a close call. The decisive factors would be: (1) Margaret's complete lack of experience with reverse convertibles or any derivatives, which places a heightened duty on the advisor to ensure understanding under FINRA's complex product guidance (RN 09-73, 10-09, 12-03); (2) the inadequate documentation of the client's actual comprehension, where the advisor's self-serving CRM notes are insufficient standing alone; and (3) the availability of less complex alternatives that could have addressed the client's income needs. Under Reg BI's care obligation, the failure to evidence that Margaret genuinely understood she was effectively writing a put option-and the existence of principal-protected alternatives with which she had actual experience-would likely tip the balance toward a finding that the recommendation was not in her best interest. However, sanctions would likely be moderate given the modest net loss, the non-trivial

conversation that did occur, and the reasonable portfolio allocation.

Borderline Scenario 8

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative

Fact Pattern

In March 2023, financial advisor Gerald Keane at a mid-sized regional broker-dealer recommended a basket of three reverse convertible notes to Margaret and Donald Whitfield, both aged 67, recently retired public school teachers living in suburban Ohio. The Whitfields had a combined retirement portfolio of approximately \$1.4 million, consisting primarily of a 403(b) rollover IRA (\$920,000), a joint brokerage account (\$340,000), and a small municipal bond ladder (\$140,000). Their stated investment objectives on account documents were 'income with moderate growth' and their risk tolerance was marked as 'moderate.' They had no prior experience with structured products, options, or derivatives, though they had owned individual equities and mutual funds for over twenty years.

Keane proposed allocating \$150,000 from the joint brokerage account-approximately 10.7% of their total portfolio-into three reverse convertible notes, each linked to a single large-cap equity underlier (a major pharmaceutical company, a large-cap technology firm, and a diversified industrial conglomerate). Each note carried a 12-month maturity, offered a coupon of 9.5% to 11.2% annually, and included a downside barrier set at 70% of the initial fixing price. The notes were issued by a major investment bank rated A+ by the credit agencies. The embedded fees and commissions on each note totaled approximately 2.75% to 3.1%, which Keane disclosed verbally during the meeting and which appeared in the pricing supplement provided at the time of purchase. The Whitfields signed an acknowledgment form indicating they had received and reviewed the product summary sheet.

Keane explained to the Whitfields that the notes would generate 'enhanced income well above what CDs or Treasury bonds are paying right now,' and described the barrier protection as providing a 'significant cushion against normal market pullbacks.' He used a simplified chart showing the payoff at maturity under three scenarios: stock up, stock flat, and stock down more than 30%. He did not explicitly walk them through a scenario where the barrier was breached and shares were delivered at a loss, though this scenario was described in the written materials. He also did not compare the total cost of the reverse convertibles against alternative income-producing strategies such as dividend-paying stocks, preferred shares, or short-duration bond funds that might have generated 4.5% to 6% yields at the time with different risk profiles.

Over the 12-month holding period, two of the three underliers performed well and the notes matured at par plus the full coupon. However, the technology underlier declined 34% from its initial fixing price, breaching the 70% barrier. The Whitfields received shares worth approximately \$33,000 on a \$50,000 investment, resulting in a realized loss of \$17,000 on that note before accounting for the \$5,600 coupon received, producing a net loss of approximately \$11,400. Across all three notes, accounting for all coupons received and the loss on the technology-linked note, the Whitfields' net return was approximately \$3,350 on \$150,000 invested over 12 months-a return of roughly 2.2%, which was below what a simple Treasury bill

ladder would have produced during the same period (approximately 4.8% to 5.2%). The total embedded fees across the three notes were approximately \$4,275.

The Whitfields filed a complaint alleging that the notes were unsuitable for conservative retirees, that the fees were excessive relative to the risk-reward profile, and that Keane failed to adequately explain the downside risk or compare cheaper alternatives. Keane responded that the allocation was modest relative to the overall portfolio, that the Whitfields acknowledged the risks in writing, that the 70% barrier was protective in most historical scenarios, and that the income need justified reaching for higher-yielding products in an environment where their existing fixed-income holdings were generating only 3% to 4%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The Whitfields were 67-year-old retirees with no prior structured product experience, moderate risk tolerance, and an income-oriented objective. Reverse convertible notes embed short put option exposure, meaning the investor bears equity-like downside risk while receiving a fixed coupon—a payoff structure that is fundamentally asymmetric and disadvantageous in tail scenarios. Regulatory guidance has consistently flagged reverse convertibles as products requiring heightened scrutiny when sold to retail investors, particularly those who lack derivatives experience. The embedded fees of 2.75% to 3.1% per note are significantly higher than fees for comparable income-generating alternatives (index bond funds at 0.05%-0.20%, preferred stock ETFs at 0.40%-0.60%, or even individual corporate bonds with typical markups of 0.50%-1.50%). The advisor's verbal explanation emphasized the coupon and the barrier cushion without walking through the delivered-shares scenario in detail, potentially leaving the customers without a genuine understanding of their worst-case exposure. The fact that the product ultimately underperformed risk-free Treasuries on a net basis underscores the argument that the risk-reward tradeoff was not appropriate. Furthermore, the advisor did not document any consideration of lower-cost, simpler income alternatives, which is relevant under modern best interest frameworks requiring evaluation of reasonably available alternatives.

Arguments against a violation: The \$150,000 allocation represented only 10.7% of the Whitfields' total portfolio, leaving nearly 90% in traditional, conservative holdings. This is a modest, satellite allocation for enhanced income rather than a concentrated bet. The underliers were large-cap, blue-chip equities—not volatile small-caps or meme stocks—and the 70% barriers provided meaningful, though not complete, downside protection. The 9.5%-11.2% coupons represented a substantial income premium over available alternatives at a time when the Whitfields expressed a desire for income generation. The Whitfields had 20+ years of investing experience, including individual stock ownership, suggesting they were not entirely unsophisticated. Keane provided the pricing supplement and product summary, and obtained a signed acknowledgment. The embedded fees, while higher than passive alternatives, are within the range typical for structured notes and were disclosed. Two of the three notes performed exactly as intended, and the overall portfolio-level impact of the loss was modest (approximately 0.8% of total assets). The loss on one note does not, by itself, prove unsuitability—outcome-based reasoning is generally disfavored in suitability analysis. Finally, moderate risk tolerance does not preclude all equity-linked exposure, and the Whitfields' account documents did include growth as a secondary objective.

Why Borderline

This scenario sits in a genuine gray zone because the allocation size was prudent relative to total assets, the customers had long investing experience and signed acknowledgment forms, and the product performed as designed in two out of three cases. However, the customers had zero structured product experience, were recently retired and dependent on portfolio income, the embedded fees substantially exceeded alternatives that could have met their income needs with less complexity, and the advisor's explanation arguably glossed over the most important risk scenario. Reasonable practitioners could disagree about whether a 10.7% allocation to a higher-fee, equity-risk-embedded product for income-seeking retirees crosses the line, especially when cheaper and simpler alternatives existed. The question of whether the fee differential alone renders the recommendation unsuitable-when the product did provide a meaningfully higher coupon-is precisely the kind of cost-benefit judgment on which regulators and defense counsel routinely diverge.

Borderline Factors

- Allocation was only 10.7% of total portfolio, not a concentrated position
- Customers had 20+ years of general investing experience but zero structured product or derivatives experience
- Embedded fees of 2.75%-3.1% were within industry norms for structured notes but 2-5x higher than simpler income alternatives
- Written disclosures were provided and acknowledged, but verbal explanation de-emphasized worst-case scenario
- Product ultimately underperformed risk-free Treasuries on a net basis, though outcome alone is not dispositive
- Moderate risk tolerance with income plus growth objectives creates ambiguity about permissible equity-linked exposure
- No documented consideration of reasonably available lower-cost alternatives
- Two of three notes matured successfully; one barrier breach caused a meaningful but not catastrophic loss
- Recently retired customers transitioning from accumulation to distribution phase increases vulnerability

Likely Outcome

A regulator reviewing this case would most likely find a violation, though not an egregious one, and would likely focus on two primary deficiencies rather than the allocation decision itself. First, the advisor's failure to document any consideration of lower-cost income alternatives (dividend stocks, preferred shares, short-duration bond funds) that could have met the Whitfields' yield objectives with less complexity and lower fees would be viewed as a failure to adequately evaluate reasonably available alternatives under the prevailing best interest framework. Second, the verbal de-emphasis of the barrier-breach scenario-the precise risk that materialized-would be viewed as an inadequate explanation of the product's risk-reward asymmetry to customers with no structured product background. The modest allocation size and written acknowledgment would serve as mitigating factors, likely resulting in a finding with reduced sanctions rather than a severe penalty. A well-prepared defense could potentially prevail before an arbitration panel by emphasizing portfolio-level suitability, the signed disclosures, and the customers' general investment experience, making this a genuinely contested case.

Borderline Scenario 9

Topic: structured_products_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment

Fact Pattern

Margaret Ellison, age 62, is a retired hospital administrator with a \$2.1 million portfolio consisting of municipal bonds, blue-chip equities, and \$340,000 in money market funds. She has a stated investment objective of income generation with moderate growth, a moderate risk tolerance on her new account form, and an investment time horizon of 10-15 years. She holds a master's degree in healthcare management and previously served as the CFO of a regional hospital system for eight years before transitioning to an administrative role. Her annual income from Social Security and a pension is \$94,000, and she has no debt. She does not need portfolio withdrawals for living expenses but wants to supplement her retirement income.

In March 2023, her financial advisor, Daniel Kowalski, recommended she invest \$200,000 of her money market holdings into a basket of three structured notes: (1) \$80,000 in a 3-year reverse convertible linked to shares of a large-cap pharmaceutical company, offering a 9.5% annual coupon with a 70% downside barrier; (2) \$70,000 in an 18-month principal-protected note linked to the S&P 500 with a participation rate of 110% on the upside but capped at 18% total return; and (3) \$50,000 in a 2-year autocallable note linked to a basket of three large-cap technology stocks, paying 11% annually if none of the underlying stocks falls below 65% of its initial price, with full principal at risk below that barrier.

Kowalski spent approximately 90 minutes in two separate meetings explaining the products. He provided the offering documents and term sheets, drew diagrams of the payoff structures on a whiteboard, and walked through hypothetical scenarios including worst-case outcomes. Margaret signed acknowledgment forms indicating she understood each product's risks, including the possibility of receiving depreciated stock instead of cash on the reverse convertible, the credit risk of the issuing bank, and the illiquid nature of the notes. She also signed a statement confirming her prior experience evaluating financial instruments in her former CFO role.

Kowalski's notes from the meetings reflect that Margaret asked several detailed questions about the barrier levels, the creditworthiness of the issuing institution (a major global bank rated A+ by two rating agencies), and whether she could exit early. He explained that secondary market liquidity was limited and that she should expect to hold to maturity. Margaret stated she was comfortable with that given she did not need the funds.

The structured notes collectively represented approximately 9.5% of her total portfolio after the purchase. Kowalski earned a 2.75% commission on the reverse convertible, 1.5% on the principal-protected note, and 3.1% on the autocallable note, totaling approximately \$4,770 across the three positions. His firm's product committee had approved all three notes for sale to investors with moderate or higher risk tolerance.

By September 2023, one of the three technology stocks underlying the autocallable note had declined 38% from its reference price, breaching the 65% barrier. Margaret's \$50,000 autocallable position was now marked at approximately \$31,000. The reverse convertible and principal-protected note were performing as expected. Margaret filed a complaint alleging that the products were too complex for a retiree and that

Kowalski prioritized his commissions over her interests, pointing out that the combined commission rate across the three products was significantly higher than what she would have paid on traditional bond or equity investments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kowalski violated applicable standards: The structured notes, particularly the reverse convertible and autocallable note, carry embedded risks - including full principal loss below barrier levels - that may be disproportionate to the modest yield enhancement they offer over simpler income-generating alternatives such as investment-grade corporate bonds or dividend-paying equities. Regulators have historically expressed concern about reverse convertibles being sold to retail investors, noting that the asymmetric risk-reward profile (capped upside, substantial downside) may not align with income-oriented retirees' actual needs. The 2.75% and 3.1% commissions on two of the three products are notably higher than what comparable fixed-income or equity products would generate, raising questions about whether the recommendation was influenced by compensation. Even though the products passed the firm's product committee review, that alone does not establish that they were appropriate for this specific client. Margaret's former CFO experience was in healthcare operations and budgeting, not in evaluating derivatives-embedded securities, and the advisor may have overstated the relevance of her professional background to these particular instruments.

Arguments that Kowalski acted appropriately: The allocation to structured notes represented under 10% of Margaret's total portfolio, a modest concentration that left her overwhelmingly invested in traditional, conservative instruments. She had no liquidity needs, a moderate risk tolerance, and a sufficiently long time horizon to hold the notes to maturity. Kowalski conducted extensive disclosure across two meetings, used visual aids, walked through worst-case scenarios, and documented Margaret's understanding. Margaret asked sophisticated questions about barrier levels and issuer credit quality, suggesting genuine comprehension. The principal-protected note carried no downside risk to principal (subject to issuer credit), and even the reverse convertible had a 30% cushion before principal was at risk. All three products were approved by the firm for investors with Margaret's risk profile. The commissions, while higher than those on plain-vanilla products, were within industry norms for structured notes and were disclosed. The loss on the autocallable note resulted from an extraordinary decline in one underlying stock - a market risk that was explicitly discussed. A bad outcome does not retroactively render a recommendation unsuitable.

The core tension is between the heightened scrutiny regulators apply to structured product sales to retail retirees and the strong evidence of disclosure, comprehension, portfolio-level appropriateness, and client sophistication in this case.

Why Borderline

This scenario sits in genuine gray territory because the advisor followed robust disclosure and documentation practices, the client had above-average financial sophistication, the allocation was modest relative to the total portfolio, and the firm had approved the products for this risk profile. However, regulators have consistently flagged reverse convertibles and barrier-contingent autocallable notes as products whose asymmetric payoff structures may be inherently difficult to justify for income-seeking

retirees when simpler alternatives exist, and the elevated commission structure creates at least the appearance of a conflict. The fact that one product performed poorly sharpens the inquiry but does not resolve it - the question is whether the recommendation was reasonable ex ante, not whether it worked out.

Borderline Factors

- Structured notes represented less than 10% of total portfolio, limiting concentration risk
- Client had CFO-level professional experience, but not specifically in derivatives or structured products
 - Advisor conducted thorough disclosure over two meetings with documented client questions and acknowledgments
- Commissions were 2-3x higher than comparable traditional fixed-income products, creating a potential conflict
- Reverse convertibles and autocallable notes have asymmetric risk profiles that regulators have flagged as potentially unsuitable for retail retirees
- Principal-protected note in the basket was genuinely conservative, complicating a blanket unsuitability argument
- Client had no liquidity needs and a 10-15 year horizon, supporting the hold-to-maturity requirement
- Firm's product committee had approved all three notes for moderate-risk investors
- The loss was driven by a single stock's steep decline - a scenario the advisor explicitly discussed as a possibility

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a suitability violation, provided Kowalski's documentation holds up under scrutiny. The modest portfolio allocation, extensive disclosure process, client sophistication, firm-level product approval, and the fact that two of the three products performed as expected all weigh in the advisor's favor. However, a regulator might issue a cautionary finding or require enhanced supervisory procedures for future structured product sales to retirees, and might scrutinize whether the elevated commissions influenced the recommendation over simpler income alternatives. If the documentation were weaker or the allocation larger, the outcome could easily tip the other way.

Borderline Scenario 10

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Margaret Holden, age 62, is a recently retired school principal with a \$1.4 million portfolio consisting primarily of municipal bonds, blue-chip dividend stocks, and a laddered CD strategy. Her account documents list her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' her time horizon as '10-15 years,' and her liquid net worth as \$1.6 million. She has no mortgage and collects a state pension of \$4,800 per month. In March 2023, her financial advisor, Derek Simmons, recommended she allocate \$140,000 - roughly 10% of her portfolio - to a basket of three reverse convertible notes linked to individual large-cap technology stocks (a major semiconductor company, a leading cloud computing firm, and a prominent electric vehicle manufacturer). Each note had a 13-month maturity, offered a 12.5% annual coupon, and included a 25% downside barrier - meaning that if any of the

three underlying stocks fell more than 25% from its initial price at any point during the term (American-style knock-in), Margaret would receive shares of the worst-performing stock at maturity instead of her principal. The notes were issued by a large, investment-grade bank. Simmons presented the notes as a way to enhance Margaret's income beyond what her CDs and munis were generating, noting that the 12.5% coupon was significantly above current rates. He showed her a one-page product summary and a payoff diagram. He spent approximately 40 minutes explaining the product, including that she could lose principal if any stock dropped more than 25%. Margaret signed a supplemental disclosure acknowledging the risk of principal loss and the fact that her upside was capped at the coupon. She asked whether the stocks were 'safe' and Simmons replied that all three were 'well-known, established companies' but that 'nothing is guaranteed.' He did not provide historical volatility data for the three stocks, nor did he illustrate specific loss scenarios showing dollar amounts she could lose. He also did not discuss the implied correlation risk of a worst-of basket structure or the fact that the probability of breaching the barrier increases significantly with three underlying assets versus one. Margaret's account records show she had previously purchased two single-stock reverse convertibles in 2020 and 2021 - one linked to a large-cap pharmaceutical company (which matured and returned full principal plus coupon) and one linked to a major bank stock (which also matured without breaching its barrier). Both were for \$40,000 each. By September 2023, the semiconductor stock had fallen 31% from its reference price due to an unexpected export ban, triggering the knock-in event. At maturity in April 2024, the semiconductor stock was still down 28%, and Margaret received shares worth approximately \$100,800 instead of her \$140,000 principal - a loss of \$39,200, partially offset by the \$17,500 in coupon payments she received, resulting in a net loss of approximately \$21,700. Margaret filed a complaint alleging that the product was too risky for her profile and that she did not fully understand the worst-of basket structure or how three underlying stocks dramatically changed the risk compared to the single-stock reverse convertibles she had previously owned.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations. Arguments that Simmons violated applicable standards: (1) Reverse convertibles are complex structured products that expose investors to the full downside risk of equities while capping upside at the coupon - a fundamentally asymmetric payoff. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles may be unsuitable for investors seeking income with capital preservation. (2) The 'worst-of' basket structure with three volatile technology stocks materially increases the probability of a barrier breach compared to single-stock notes, and Simmons did not explain this distinction. FINRA RN 12-03 emphasizes that firms must ensure customers understand the terms, features, and risks of complex products. (3) Margaret's stated objective was income with capital preservation, and a product with potential for 25%+ principal loss is arguably inconsistent with that profile. (4) The \$140,000 allocation was 3.5 times larger than her prior reverse convertible positions, representing a meaningful escalation in exposure. (5) Under Regulation BI's care obligation, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. Arguments that Simmons acted within acceptable bounds: (1) Margaret had prior experience with reverse convertibles - two prior purchases that matured successfully - giving her some baseline familiarity with the product type. (2) The 10% portfolio allocation is within commonly accepted concentration limits and left 90% of her portfolio in conservative holdings. (3) Simmons spent 40 minutes explaining the product, provided a payoff diagram, and obtained a signed supplemental

risk acknowledgment. (4) A 'moderate' risk tolerance does not preclude all principal risk; it suggests willingness to accept some risk for enhanced returns. (5) The underlying stocks were large-cap, well-known companies, not speculative small-caps. (6) The 25% barrier provided a meaningful cushion, and the 12.5% coupon partially compensated for the risk taken. (7) Margaret's overall financial position - \$1.6M liquid net worth, pension income, no debt - suggests she could absorb a loss of this magnitude without material hardship.

Why Borderline

This is genuinely ambiguous because the customer had prior reverse convertible experience and a financial cushion that could absorb the loss, yet the advisor meaningfully escalated both the complexity (single-stock to worst-of-three basket) and the size of the position without adequately explaining how the risk profile changed. The customer's stated objective of capital preservation conflicts with the product's embedded equity downside, but her moderate risk tolerance and prior product experience cut in the other direction. Reasonable regulators could disagree on whether the disclosure was sufficient and whether the allocation was appropriate given her overall profile.

Borderline Factors

- Customer had prior experience with simpler versions of the same product type but not with worst-of basket structures
- 10% portfolio allocation is moderate but represents a 3.5x increase over prior positions in this product category
- Customer's stated objective of 'income with capital preservation' arguably conflicts with a product carrying full equity downside risk
- Moderate risk tolerance and strong overall financial position suggest ability to bear losses
- Advisor provided disclosure and explanation but did not address the specific incremental risks of a multi-asset worst-of structure versus single-stock notes
- The three underlying stocks were all in the technology sector, introducing concentration and correlation risk that was not discussed
- Customer signed a risk acknowledgment form, suggesting informed consent, but the depth of understanding is debatable
- Net loss of \$21,700 represents approximately 1.4% of liquid net worth - financially survivable but not trivial

Likely Outcome

A regulator would most likely find a violation, though possibly a moderate one warranting a fine and restitution rather than severe sanctions. The key issue is the failure to explain the material difference in risk between a single-stock reverse convertible and a worst-of-three basket note - particularly given that FINRA has repeatedly emphasized that complex structured products require heightened disclosure. While Margaret's prior experience provides some defense, her experience was limited to simpler single-stock structures, and the advisor's failure to discuss correlation risk, historical volatility, or illustrative loss scenarios likely falls short of the reasonable-basis and customer-specific suitability obligations under FINRA Rule 2111 and the care obligation under Regulation BI. The allocation size escalation without corresponding escalation in disclosure further weakens the defense. However, the signed risk acknowledgment, the limited portfolio concentration, and Margaret's overall financial resilience would likely mitigate the severity of the finding.

Borderline Scenario 11

Topic: structured_products_unsuitable | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and

Fact Pattern

In September 2022, financial advisor Marcus Reilly at Cornerstone Capital Partners recommended a basket of three reverse convertible notes to his client, Diane Whitford, a 61-year-old recently retired school principal with a \$1.4 million portfolio. The reverse convertibles were 14-month notes linked to individual large-cap equities (Apple, JPMorgan Chase, and Caterpillar), each paying a monthly coupon of 9.5% annualized, with a 70% knock-in barrier. Each note had a \$50,000 face value, totaling \$150,000, representing approximately 10.7% of Whitford's total investable assets. Whitford's account documents listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her time horizon as '10+ years.' She had a pension paying \$62,000 annually and Social Security of \$28,000, giving her \$90,000 in fixed annual income against approximately \$75,000 in annual expenses. She held an MBA degree earned in 1994 and had previously worked as a school district budget director before becoming a principal. Her account history showed she had owned individual stocks, corporate bond funds, and a small allocation to a high-yield bond ETF over the prior eight years. Reilly presented Whitford with the term sheets for each reverse convertible and spent approximately 45 minutes in a recorded meeting explaining the payoff structure, including the scenario in which any of the underlying stocks fell below the 70% barrier level, which would result in her receiving shares of the worst-performing stock at maturity instead of her principal. He used a whiteboard diagram showing the three possible outcomes: full principal return plus coupons if stocks stayed above the barrier, partial principal loss proportional to the stock decline if the barrier was breached, and the maximum loss scenario. Whitford asked several clarifying questions during the meeting, including 'So the worst case is I end up owning the stock at a loss?' to which Reilly confirmed and noted she could hold or sell the shares. Whitford signed a structured product acknowledgment form indicating she understood the risks. Reilly's commission on the three notes totaled \$6,750, compared to approximately \$1,500 he would have earned placing her in a diversified high-yield bond fund generating comparable income. During the 14-month term, Caterpillar shares declined 34%, breaching the 70% barrier. At maturity in November 2023, Whitford received Caterpillar shares worth approximately \$33,500 instead of her \$50,000 principal on that note, resulting in a net loss of approximately \$9,850 after accounting for coupons received. The other two notes returned full principal plus coupons. Whitford filed a complaint alleging Reilly pushed her into products she didn't fully understand and that were too risky for a retiree seeking income. Reilly's supervisor had approved the transactions after reviewing Whitford's profile, and the firm's product committee had approved reverse convertibles for clients with moderate risk tolerance provided total structured product exposure did not exceed 15% of the portfolio.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Whitford was a recent retiree whose primary investment need was income preservation and modest growth. Reverse convertibles carry equity downside risk disguised as fixed-income instruments, and a retiree relying on her portfolio for supplemental income may not be an appropriate candidate for products that can convert into depreciated stock. The 9.5% coupon, while attractive, compensates investors for bearing meaningful downside risk - effectively selling put options - and

a moderate-risk-tolerance retiree may not genuinely appreciate the asymmetric payoff despite verbal explanations. The advisor's commission was roughly 4.5 times what he would have earned on a comparable-income alternative, creating a significant financial incentive to recommend the more complex product. While Whitford has an MBA and budget experience, those credentials are decades old and do not specifically relate to derivatives or structured product expertise. The acknowledgment form she signed is a standard disclosure document and does not, by itself, demonstrate genuine understanding. Arguments against a violation: Whitford was not a financially unsophisticated investor - she held an MBA, had served as a budget director, had eight years of brokerage account history including individual equities, and asked pointed questions during a 45-minute recorded explanation that demonstrated engagement with the product mechanics. Her fixed income from pension and Social Security exceeded her annual expenses by \$15,000, meaning she was not dependent on portfolio income for daily living, which mitigates the concern about principal risk in a modest allocation. The \$150,000 investment represented only 10.7% of her portfolio, well within the firm's 15% threshold and not constituting dangerous concentration. The 70% knock-in barrier provided a substantial cushion before principal was at risk. The firm's product committee had specifically approved these products for moderate-risk-tolerance clients. Reilly documented his explanation thoroughly and received supervisory approval. The complaint was filed only after an adverse outcome, and a 34% decline in a blue-chip stock over 14 months, while not unprecedented, was a relatively severe scenario. The overall portfolio impact was a net loss of approximately \$9,850 on a \$1.4 million portfolio - less than 1% - suggesting the allocation was appropriately sized even in the loss scenario.

Why Borderline

This case sits in a genuine gray zone because the customer had legitimate income needs that the product addressed, possessed above-average financial education, received a documented and substantive explanation of risks, and the allocation was modest relative to her total wealth. However, reverse convertibles are frequently cited by regulators as products whose risks are poorly understood by retail investors regardless of disclosures, the commission differential raises conflict-of-interest concerns, and the product's equity-like downside risk arguably conflicts with a 'moderate' risk tolerance designation for a retiree. Reasonable professionals could disagree on whether a well-educated retiree with surplus fixed income and a documented understanding of the product is an appropriate buyer, or whether the structural complexity and hidden option-writing nature of these products makes them categorically unsuitable for moderate-risk retirees regardless of education level.

Borderline Factors

- Customer held an MBA and had professional budget management experience, but credentials were decades old and not specifically in structured products or derivatives
- Fixed pension and Social Security income exceeded living expenses, reducing dependence on portfolio principal, but retirement status generally increases sensitivity to principal loss
- Allocation of 10.7% was within the firm's approved threshold and not extreme concentration, but still represented a meaningful dollar amount (\$150,000) in complex instruments
- A 45-minute recorded explanation with interactive Q&A demonstrated meaningful disclosure effort, but regulatory guidance has questioned whether retail investors can truly understand reverse convertible payoff structures regardless of disclosure quality
- Commission of \$6,750 versus \$1,500 for comparable-income alternatives creates a material conflict, but the advisor followed firm procedures and obtained supervisory approval
- The 70% knock-in barrier provided significant downside cushion, but the product still exposed a

moderate-risk retiree to potentially unlimited equity downside beyond that barrier

- The actual portfolio-level loss was under 1%, suggesting appropriate position sizing, but outcome-based reasoning is not the standard for assessing suitability at the time of recommendation

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a full violation finding, though they might issue supervisory criticism. The documented explanation, the client's above-average financial sophistication, the modest allocation relative to total assets, the surplus fixed income covering living expenses, and the firm's supervisory approval process all weigh in the advisor's favor. However, the significant commission differential and the inherent complexity of reverse convertibles - which regulators have repeatedly flagged as problematic for retail investors - would likely result in a recommendation for enhanced supervisory procedures, better documentation of why this specific product was superior to simpler income alternatives, and possibly a fine or censure letter focused on the inadequacy of the comparative analysis rather than the suitability determination itself. If pursued, it would most likely result in a modest settlement rather than a full adjudicated finding of violation.

Borderline Scenario 12

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative suitability)

Fact Pattern

Margaret Hollis, age 62, recently retired from a 30-year career as a senior actuary at a large insurance company. She rolled over her \$1.4 million 401(k) into an IRA at Pinnacle Wealth Advisors in March 2023. Her new advisor, Brian Tanaka, met with her twice in person and conducted a phone call before making any recommendations. During the initial meeting, Margaret stated she wanted 'steady income with some upside participation' and described herself as having 'moderate' risk tolerance. She noted she had a pension covering about 60% of her living expenses, Social Security covering another 25%, and wanted the IRA to supplement her income and potentially grow for her estate. She indicated a 15-20 year time horizon for the bulk of the portfolio.

On her new account form, Brian recorded her investment experience as 'extensive' based on their conversation - Margaret confirmed she had managed her own brokerage account for 12 years, had traded individual equities and ETFs, and told Brian she understood options pricing concepts from her actuarial work, including Black-Scholes modeling and implied volatility. She said she had never personally purchased structured products but had reviewed them professionally when her former employer considered offering them in the company retirement plan.

In April 2023, Brian recommended allocating \$210,000 (15% of the portfolio) across three reverse convertible notes: \$70,000 in a 12-month reverse convertible linked to Nvidia with a 14.5% coupon and a 70% barrier, \$70,000 in a 14-month reverse convertible linked to a basket of three large-cap pharmaceutical stocks with an 11.2% coupon and a 65% barrier, and \$70,000 in a 10-month reverse convertible linked to the S&P 500 with a 7.8% coupon and a 75% barrier. Brian provided Margaret with the offering documents for each product, totaling approximately 280 pages, and spent roughly 45 minutes walking her through the payoff diagrams, explaining the downside conversion risk, the barrier mechanics,

and the fact that her upside was capped at the coupon. He documented in his notes that Margaret asked several sophisticated questions, including one about the implied volatility assumptions embedded in the coupon levels and another about counterparty credit risk of the issuing bank.

Margaret signed the account documents, including an acknowledgment that she understood reverse convertibles involved the risk of receiving shares worth less than her principal if the underlying dropped below the barrier. The remainder of her portfolio was allocated to a diversified mix of investment-grade bond funds (50%), large-cap equity index funds (25%), and a money market fund (10%).

By February 2024, the Nvidia-linked reverse convertible had breached its barrier during a temporary selloff, and Margaret received Nvidia shares worth approximately \$49,000 instead of her \$70,000 principal. The other two notes matured and returned full principal plus coupons. Margaret filed a complaint in June 2024 alleging that Brian never truly understood her financial situation, that she needed reliable income and could not afford a \$21,000 loss, and that the fact she had actuarial knowledge did not mean she understood the real-world risk of putting her retirement money in reverse convertibles. She also noted that Brian never asked about her monthly budget, her healthcare costs in retirement, or her specific income needs from the IRA. Brian's firm countered that Margaret was among the most sophisticated retail clients in the branch, that the allocation was only 15% of her portfolio, that her pension and Social Security covered her essential expenses, and that she demonstrated genuine comprehension of the products through her questions during the sales process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents a genuine tension between the advisor's apparent diligence and identifiable gaps in the know-your-customer process.

Arguments that Brian violated applicable standards:

1. Failure to Know the Customer's Financial Situation in Sufficient Detail: Brian never conducted a detailed budget or cash-flow analysis for Margaret's retirement. He did not document her monthly expenses, healthcare cost projections, or the precise income gap her IRA needed to fill. Under FINRA Rule 2111 (the suitability rule) and its reasonable-basis, customer-specific, and quantitative components, a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, which includes the customer's financial situation and needs. FINRA Regulatory Notice 12-03 specifically emphasizes that firms must conduct enhanced due diligence for complex products, including a more rigorous assessment of customer-specific suitability. Regulation Best Interest further requires that the broker exercise reasonable diligence, care, and skill to understand the risks of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest given their investment profile. Not quantifying Margaret's actual income needs from the IRA represents a deficiency in the know-your-customer process.

2. Reverse Convertibles Are Identified as Products Requiring Heightened Scrutiny: FINRA Regulatory Notice 10-09 specifically addresses reverse convertibles, noting they expose investors to full downside

equity risk while capping upside at the coupon. The Notice warns that these products may not be suitable for investors seeking income, because the high coupon is compensation for bearing significant equity downside risk - a feature that can be obscured by the product's bond-like appearance. A recently retired investor seeking income supplementation could reasonably be considered someone for whom the downside equity risk of a reverse convertible is not aligned with her stated goals.

3. Professional Sophistication vs. Investment Sophistication: FINRA RN 09-73 emphasizes that even with experienced investors, firms must ensure that the particular product's risks are understood in context. Margaret's actuarial background gave her theoretical knowledge, but she had never personally invested in structured products. Theoretical understanding of Black-Scholes does not necessarily translate to a practical appreciation of the emotional and financial impact of receiving depreciated shares instead of principal in a retirement account.

4. The Income Framing: Margaret stated she wanted 'steady income with some upside participation.' Reverse convertibles superficially appear to deliver income (high coupons), but the economic reality is that the investor is selling a put option on the underlying. This is more accurately characterized as a yield-enhancement strategy with principal risk, not a steady income strategy. Brian may have failed to reconcile the product's actual risk profile with the customer's stated objective.

Arguments that Brian acted appropriately:

1. Reasonable Allocation Size: The \$210,000 allocation represented 15% of a \$1.4 million portfolio, with the remaining 85% in conservative to moderate investments. The potential loss on any single reverse convertible was limited to \$70,000, and a worst-case scenario on all three would still leave Margaret with over \$1.1 million. This is not a case of concentration or overallocation.

2. Genuine Customer Sophistication: Margaret was not a typical retail investor. She had a 30-year career in quantitative risk analysis, had independently traded equities and ETFs, understood options pricing theory, and had professionally evaluated structured products. Her questions during the sales process - about implied volatility assumptions and counterparty credit risk - demonstrated a level of comprehension that few retail investors possess. The sophistication factor is a legitimate component of customer-specific suitability analysis.

3. Adequate Disclosure and Documentation: Brian provided all offering documents, spent 45 minutes explaining the payoff structures, documented Margaret's sophisticated questions, and obtained her signed acknowledgment of the principal risk. This represents a meaningful disclosure effort.

4. Income Needs Were Substantively Covered: Margaret's pension covered 60% of living expenses and Social Security covered 25%, meaning only 15% of her living costs needed to come from the IRA. With \$1.4 million in the IRA, even conservative yield assumptions would cover this gap comfortably. Brian may have reasonably concluded that Margaret's core income needs were secure and that a modest allocation to higher-yielding complex products was appropriate for the growth/supplemental portion of her portfolio.

5. Diversification Within the Structured Allocation: Brian diversified across three different underlyings (single

tech stock, pharma basket, broad index) with varying barrier levels and maturities, suggesting some thoughtfulness in construction. Two of the three matured successfully.

6. Hindsight Bias: The complaint was triggered by an actual loss on the Nvidia note. The 70% barrier was breached during a temporary selloff - an adverse but not unforeseeable outcome. The existence of a loss does not itself establish unsuitability.

Why Borderline

This case sits in a genuine gray zone because the customer possesses unusually high theoretical sophistication for a retail investor, and the allocation size was moderate relative to the total portfolio. However, the advisor failed to conduct the kind of granular financial needs analysis that regulators expect for retirement accounts, and reverse convertibles are specifically flagged products that may be unsuitable for income-seeking retirees regardless of sophistication. The tension between Margaret's demonstrable quantitative knowledge and the argument that professional sophistication does not equal investment suitability experience creates a case where reasonable practitioners and regulators could reach different conclusions.

Borderline Factors

- Customer had genuine quantitative expertise (actuary with options pricing knowledge) but no personal experience purchasing structured products
- Allocation was 15% of portfolio - meaningful but not concentrated
- Advisor provided disclosure and documented sophisticated customer questions but did not conduct a detailed retirement cash-flow or budget analysis
- Customer's essential expenses were covered by pension and Social Security, reducing reliance on the IRA for basic needs
- Reverse convertibles are specifically identified by regulators as products requiring heightened scrutiny, particularly for income-seeking investors
- Customer's stated goal of 'steady income' arguably conflicts with a product that exchanges principal risk for enhanced yield
- Only one of three reverse convertibles resulted in a loss, and that loss was driven by a temporary market selloff
- Offering documents totaling 280 pages were provided but the practical question of whether any retail investor meaningfully processes that volume is debatable

Likely Outcome

A regulator would most likely find a partial violation focused on the inadequacy of the know-your-customer process rather than on the product selection itself. The failure to document Margaret's specific income needs, monthly expenses, and healthcare cost projections for retirement - particularly when recommending complex products in a retirement account - would likely be deemed a deficiency under both the customer-specific suitability prong and Reg BI's care obligation. However, the sanction would likely be moderate (a fine and required enhanced procedures) rather than severe, because Margaret's demonstrable sophistication, the moderate allocation size, and the adequate disclosure process provide meaningful mitigating factors. A panel might split on whether the Nvidia reverse convertible was unsuitable on a customer-specific basis, given that the overall portfolio could absorb the loss, but would likely agree that the process was deficient. The firm's supervisory procedures would also face scrutiny under FINRA RN 12-03's

guidance on heightened supervision for complex products sold to retail investors in retirement accounts.

Borderline Scenario 13

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) - requiring that a recommended transaction or investment

Fact Pattern

Margaret Holloway, age 74, is a retired school principal with a net worth of approximately \$2.1 million, of which \$1.4 million is in investment accounts at Ridgeline Securities. She receives \$3,800 per month in pension income and \$2,200 per month in Social Security. Her husband passed away in 2021, and she has been managing investments more actively since then. She holds a master's degree in mathematics and taught AP Statistics for fifteen years before becoming an administrator. Her account documents list her investment objective as 'growth and income,' her risk tolerance as 'moderate,' and her time horizon as '5-10 years.' She has no immediate liquidity needs beyond her monthly expenses, which total roughly \$4,500 per month, and she has \$180,000 in a money market account as an emergency reserve.

In March 2024, her financial advisor, Dennis Chao, recommended she invest \$210,000 - approximately 15% of her investment portfolio - in a basket of three reverse convertible notes issued by a major bank. Each note had a 13-month maturity, paid a coupon of 11.5% to 13.75% per annum, and was linked to the common stock of a single large-cap technology company. The knock-in barrier for each note was set at 70% of the initial stock price, meaning if the reference stock fell more than 30% during the observation period, Margaret would receive shares of the depreciated stock at maturity instead of her principal. The three reference stocks were well-known names - a major semiconductor company, a large-cap cloud computing firm, and a social media conglomerate - each with trailing 12-month realized volatility between 35% and 48%.

Chao had known Margaret for six years and had previously sold her certificates of deposit and investment-grade corporate bonds. He spent approximately 45 minutes in a meeting explaining the reverse convertible structure, including the downside risk, using a hypothetical payout diagram he drew on a whiteboard. He also provided the offering documents, which totaled 142 pages across the three notes. Margaret signed acknowledgment forms confirming she understood that she could lose a significant portion of her principal if the reference stocks declined below the knock-in barriers. She told Chao she liked the 'higher income' and said she was 'comfortable with risk on a portion of the portfolio.' Chao's notes from the meeting reflect that he told her the coupon income was 'significantly above what CDs or bonds are paying' and that the knock-in barriers provided a 'cushion.'

However, Margaret's son, a corporate attorney, later reviewed the positions and filed a complaint alleging that Chao sold his mother unsuitable products. The son argued that (1) reverse convertibles are effectively short put options embedded in a note structure, and his mother had no options trading experience or approval; (2) the 142 pages of offering documents were unreasonably complex for a 74-year-old retiree; (3) the volatility of the reference stocks made the knock-in barriers more likely to be breached than a simple percentage would suggest; (4) Chao earned a 2.5% sales concession on each note, totaling \$5,250 in commissions, compared to approximately \$1,200 he would have earned selling comparable-maturity

corporate bonds; and (5) as a senior on a fixed income, capital preservation should have been prioritized.

Chao's firm countered that Margaret's math background made her better equipped than most retail investors to understand the payoff structure, that 15% of her portfolio in these instruments was not an outsized concentration, that her pension and Social Security fully covered her living expenses with surplus, that she had adequate liquid reserves, and that she affirmatively expressed interest in higher-yielding alternatives after Chao showed her a range of options including preferred stocks and high-yield bond funds. The firm also noted that Margaret had previously declined a conservative annuity recommendation, telling Chao she did not want to 'lock up money in something boring.' Two of the three notes ultimately matured above their knock-in barriers, returning full principal plus coupon; the third reference stock fell 34%, breaching the barrier, and Margaret received shares worth approximately \$51,800 on her original \$70,000 investment in that note, a loss of roughly \$18,200 before accounting for the \$8,050 in coupon payments she received.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: Reverse convertibles are among the most complex structured products sold to retail investors, and regulators have repeatedly flagged them as instruments whose risks are poorly understood by the investing public. Margaret, despite her math background, had no experience with options or derivatives, and reverse convertibles embed a short put option that exposes the investor to full downside equity risk while capping the upside at the coupon. Her age (74) and status as a retiree on fixed income suggest capital preservation should carry significant weight, even though she expressed interest in yield. The 142 pages of offering documents arguably exceed what a reasonable retail investor would parse, and the signed acknowledgment forms do not necessarily demonstrate genuine comprehension. The higher commission earned by Chao on these products relative to plain-vanilla alternatives raises questions about whether the recommendation was motivated by the advisor's financial interest. The underlying reference stocks had volatility levels in the 35%-48% range, which materially increases the probability of knock-in barrier breach, a nuance that a whiteboard diagram may not adequately convey. Regulators have historically viewed reverse convertible sales to seniors and retirees with skepticism, particularly when the customer has no derivatives experience.

Arguments against a violation: Margaret was not a typical unsophisticated retail investor - she held a master's degree in mathematics and taught statistics at an advanced level for fifteen years. She was demonstrably capable of understanding probability distributions and conditional payoff structures. The allocation of 15% of her portfolio is within ranges that many firms consider acceptable for moderate-risk alternative income products, especially when the client's essential expenses are fully covered by guaranteed income streams (pension plus Social Security) with surplus. She maintained \$180,000 in liquid reserves, had no near-term liquidity needs, and had a stated 5-10 year time horizon. She actively declined more conservative alternatives, expressing a desire for yield. Chao documented a substantive 45-minute discussion of the risks, provided offering documents, and obtained written acknowledgments. The overall portfolio impact of the loss was modest - approximately \$10,150 net loss on one note (after coupon payments) against a \$1.4 million portfolio - representing less than 1% of total portfolio value. The two successful notes produced coupon income totaling approximately \$16,100. The mere fact that a product is

complex does not per se make it unsuitable if the customer profile and documentation support the recommendation.

Why Borderline

This scenario is genuinely ambiguous because the customer profile presents contradictory signals. Margaret's advanced age and retiree status are classic red flags for structured product suitability, and reverse convertibles are among the products most frequently cited in regulatory actions. However, her unusually strong quantitative background, the relatively modest portfolio allocation, her fully covered living expenses, her affirmative rejection of conservative alternatives, and the documented risk discussion all provide substantial counterarguments. The commission differential is meaningful but not egregious. The net financial harm, after coupon income, was relatively small in the context of her total wealth. Reasonable compliance professionals could disagree on whether this crosses the line.

Borderline Factors

- Customer's advanced mathematical education versus her age and retiree status
- 15% portfolio allocation - moderate but meaningful concentration in a single product type
- Customer's affirmative rejection of more conservative alternatives and documented preference for yield
- Pension and Social Security fully covering living expenses, reducing dependence on portfolio
- No options experience or approval despite the embedded short put in the product
- Higher commission on structured notes versus plain-vanilla alternatives (\$5,250 vs. ~\$1,200)
- 45-minute documented risk discussion with visual aids versus 142 pages of dense offering documents
 - Underlying stock volatility of 35%-48% increasing actual probability of barrier breach beyond what a percentage cushion implies
- Net financial harm relatively modest in context of total portfolio (\$10,150 net loss on \$1.4M portfolio)
- Customer signed written acknowledgments of downside risk

Likely Outcome

A regulator would most likely find a violation, though a relatively moderate one warranting supervisory criticism and potentially a fine rather than severe sanctions. Despite the mitigating factors, regulatory guidance has consistently emphasized that reverse convertibles pose particular risks for senior and retired investors, that embedded derivatives require heightened scrutiny, and that signed acknowledgment forms alone do not establish genuine customer understanding. The commission differential, while not dispositive, supports the inference that the recommendation was not solely driven by the customer's interest. A regulator would likely conclude that even a mathematically literate 74-year-old retiree with no derivatives experience should not have been placed in three single-stock-linked reverse convertibles simultaneously, and that Chao should have recommended diversified income alternatives with more transparent risk profiles. However, the mitigating factors - particularly the modest allocation, Margaret's sophistication, and her documented preferences - would likely temper the severity of any sanction.

Borderline Scenario 14

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative)

Fact Pattern

Margaret Dawson, age 74, is a retired school principal with a \$1.4 million portfolio consisting of municipal bonds, blue-chip equities, and \$320,000 in money market funds. Her account documents list her investment objectives as 'income with moderate growth' and her risk tolerance as 'moderate.' She has a pension providing \$4,800/month and Social Security of \$2,600/month, giving her comfortable monthly income that exceeds her living expenses by approximately \$1,500. Her investment experience section notes '35+ years of investing,' including prior purchases of corporate bonds, preferred stock, and two previous structured notes she bought in 2016 and 2018 through a different advisor - both of which matured at par and paid their coupons without incident.

In March 2023, her current financial advisor, Kevin Barlow (15 years' experience, Series 7 and 66 licensed), recommended she invest \$150,000 of her money market holdings into a 24-month reverse convertible note linked to a basket of three large-cap pharmaceutical stocks (Pfizer, Johnson & Johnson, and Merck). The note offered a 9.4% annual coupon paid monthly, with a 70% downside barrier - meaning Margaret would receive her full principal back at maturity unless any one of the three reference stocks declined more than 30% from its initial level at any observation date. If the barrier were breached, she would receive shares of the worst-performing stock at maturity rather than cash, potentially resulting in significant principal loss.

Barlow conducted a 45-minute meeting with Margaret and her daughter, Linda (age 48, a marketing executive with no financial industry background), during which he explained the product using a term sheet and a colored diagram showing the payoff scenarios. He walked through three hypothetical outcomes: all stocks stay above the barrier (full principal plus coupons), one stock drops 25% then recovers (still full principal plus coupons), and one stock drops 40% (principal converted to shares at a loss). Margaret asked several questions, including 'What's the worst that could happen?' to which Barlow responded that her maximum loss was theoretically the entire \$150,000 if a stock went to zero, but that pharmaceutical large-caps historically have been stable. He noted this was 'much better than money market rates.' Linda later recalled that her mother seemed to understand the basic concept but asked Barlow to 'repeat the bad scenario one more time.'

Margaret signed the structured product acknowledgment form, which stated she understood the product involved risk of principal loss and that the return was linked to equity performance. Barlow's notes from the meeting state: 'Client understands risk/reward. Product suitable for income enhancement on portion of liquid assets. Client has prior structured note experience. Daughter present and supportive.'

By December 2023, Pfizer had declined approximately 32% from the note's initial pricing level, breaching the barrier. The other two stocks were relatively flat. At maturity in March 2025, Margaret received Pfizer shares worth approximately \$103,000 instead of her \$150,000 principal - a loss of roughly \$47,000, partially offset by approximately \$28,200 in coupon payments received over the life of the note, for a net loss of about \$18,800.

Margaret's daughter Linda subsequently filed a complaint alleging that her mother, as a 74-year-old retiree, should never have been sold a product where she could lose significant principal, that her mother did not truly understand the knock-in barrier mechanics or the concept of physical settlement in the worst-performing stock, and that the advisor was motivated by the 2.5% upfront commission on the product (approximately \$3,750) versus negligible compensation on money market holdings. Barlow's firm counters

that Margaret was a sophisticated, experienced investor with ample surplus income and liquidity, that the \$150,000 represented only about 10.7% of her total portfolio, that she had owned structured notes before, and that the recommendation was documented and disclosed in a meeting attended by a family member.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Barlow violated applicable standards: (1) Reverse convertibles are identified in FINRA Regulatory Notice 10-09 as products requiring heightened suitability scrutiny, particularly for retail and senior investors, because the investor assumes downside equity risk while the upside is capped at the coupon - an asymmetric risk/return profile. (2) FINRA RN 12-03 emphasizes that firms must ensure customers understand complex products, and simply having a client sign an acknowledgment form does not satisfy the obligation; the fact that Margaret asked to have the downside scenario repeated could suggest incomplete comprehension. (3) Under Regulation Best Interest's care obligation, an advisor must consider reasonably available alternatives; Margaret could have achieved meaningful income improvement over money markets through high-grade corporate bonds, CDs, or even dividend-paying equities without the binary principal risk embedded in a reverse convertible. (4) FINRA RN 09-73 specifically addresses senior investors and heightened obligations regarding product complexity, time horizon, and risk tolerance; a 74-year-old retiree whose stated objective is income with moderate growth arguably does not need a product that converts principal into a volatile single-stock position upon a barrier breach. (5) The 2.5% commission, while not exorbitant, represents substantially higher compensation than alternatives, raising questions about whether the recommendation was influenced by advisor compensation.

Arguments that Barlow acted appropriately: (1) Margaret was not an unsophisticated novice - she had 35+ years of investing experience and had purchased two prior structured notes that she held to maturity, demonstrating familiarity with the product category. (2) The \$150,000 allocation represented approximately 10.7% of her \$1.4 million portfolio and roughly 47% of her money market allocation, leaving substantial liquidity; this was not a concentrated bet. (3) The reference basket consisted of three mega-cap pharmaceutical companies - among the most defensive equity names available - with a 30% barrier, which was a relatively conservative structure for a reverse convertible. (4) The meeting was 45 minutes, included visual aids, covered specific downside scenarios including worst-case, and was attended by a family member - suggesting a genuine effort at disclosure and education. (5) Margaret's surplus monthly income of \$1,500 meant she did not depend on the \$150,000 for living expenses, and the 9.4% coupon provided meaningful income enhancement. (6) Under FINRA Rule 2111's reasonable-basis, customer-specific, and quantitative suitability components, the product could be argued as suitable for this particular customer given her experience, financial cushion, and the moderate allocation size. (7) The net loss of approximately \$18,800 (after coupons), while unfortunate, represents roughly 1.3% of her total portfolio - not a devastating outcome.

Why Borderline

This case sits in a genuine gray zone because the investor profile contains significant factors cutting in both directions. Margaret is a senior investor, which triggers heightened scrutiny, but she is also experienced, financially comfortable, and was not dependent on these funds. The product is complex and carries asymmetric risk, but the allocation was modest relative to her portfolio, the barrier was relatively

conservative, and the advisor made documented disclosure efforts with a family member present. The question of whether Margaret truly understood the physical settlement mechanics and worst-performer feature - versus understanding the general concept of potential loss - is inherently subjective and difficult to adjudicate after the fact. Additionally, while alternatives existed, the specific structured note was not per se unsuitable; reasonable practitioners could disagree on whether the enhanced yield justified the embedded equity risk for this particular customer.

Borderline Factors

- Senior investor status triggers heightened obligations, but Margaret had 35+ years of experience and prior structured note purchases
- Reverse convertibles have asymmetric risk profiles flagged by regulators, but the 30% barrier on mega-cap pharma names was relatively conservative
- Allocation of 10.7% of total portfolio is moderate, not concentrated, but still represents \$150,000 of retirement assets
- 45-minute meeting with visual aids and family member present suggests genuine disclosure effort, but request to repeat downside scenario could indicate incomplete understanding
- 2.5% commission is higher than alternatives but within normal range for structured products and not clearly excessive
- Client signed acknowledgment form, but regulators have stated forms alone do not establish understanding
- Client had surplus income and did not need the funds for living expenses, but loss of principal at age 74 has limited recovery horizon
- Net loss of ~\$18,800 after coupons is modest relative to portfolio, but gross principal impairment was ~\$47,000

Likely Outcome

A regulator would likely find this a close case but may ultimately conclude that no violation occurred, albeit with potential criticism of the advisor's practices. The key factors favoring Barlow are Margaret's documented investment experience including prior structured notes, the modest allocation relative to her total portfolio, her financial independence from these funds, the documented disclosure meeting with a family member, and the relatively conservative barrier structure. However, a regulator might issue cautionary findings regarding the firm's supervisory procedures for structured product sales to senior investors, potentially noting that the suitability analysis should have more explicitly addressed why this specific product was preferable to simpler income-generating alternatives. If the allocation had been larger, the barrier lower, or the reference stocks more volatile, the outcome would likely tip toward a violation finding.

Borderline Scenario 15

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quan

Fact Pattern

Margaret Hollis, age 62, is a retired former corporate controller with 35 years of accounting and finance experience. She holds a CPA license (inactive) and previously managed a \$40 million corporate pension

fund during her career, though she retired in 2019. Her liquid investment portfolio totals approximately \$1.85 million, which represents roughly 70% of her total net worth. She receives \$3,400 per month in Social Security and a small defined benefit pension of \$1,200 per month. Her monthly expenses total approximately \$5,800, meaning she has a modest surplus from guaranteed income but relies on portfolio withdrawals of roughly \$1,200 per month to cover discretionary spending and an annual vacation. On her new account form, completed in March 2023, she listed her investment objective as "growth and income" with a risk tolerance of "moderate" and a time horizon of "10-15 years." She told her advisor, Kevin Barlow, that she wanted to "do better than CDs" and was frustrated earning 4.5% in money markets when she believed she could get higher yields.

Barlow, a 14-year veteran advisor at a mid-size broker-dealer, recommended she allocate \$370,000 - roughly 20% of her liquid portfolio - into a basket of three reverse convertible notes tied to individual large-cap equities: one linked to a major pharmaceutical company, one linked to a leading semiconductor manufacturer, and one linked to a large-cap bank stock. Each note had a 12-month maturity, offered coupon rates between 9.5% and 12.8%, and included downside barriers set at 70% of the initial reference price (meaning Margaret would bear equity losses if any underlying stock declined more than 30% from its starting price during the note's life). The combined annual income from the three positions would be approximately \$39,500, significantly above what comparable fixed-income instruments would generate. The notes were issued by a major global investment bank with an A-rated credit profile.

Barlow spent approximately 90 minutes with Margaret reviewing the term sheets. His notes from the meeting indicate he walked through the payoff diagrams, explained the barrier knock-in feature, described the scenario where she could receive shares of depreciated stock instead of her principal, and discussed the issuer credit risk. He also provided the product-specific disclosure supplements. Margaret signed an acknowledgment form stating she understood the product risks, including the potential for principal loss. Barlow's notes reflect that Margaret asked detailed questions about the barrier levels and how dividends on the reference stocks affected pricing, which he characterized as "sophisticated investor-level questions."

However, Margaret's account had no prior history of owning individual equities, equity-linked derivatives, or structured products. Her existing portfolio consisted entirely of municipal bonds, Treasury securities, investment-grade corporate bond funds, and money market funds. She had never owned a structured note before. She also did not have a margin account and had checked "limited" under derivatives experience on her account documentation, though she verbally told Barlow she had approved derivatives strategies for the pension fund she once managed.

Six months into the holding period, the semiconductor stock dropped 38% due to an unexpected export ban affecting the company's largest overseas market. The barrier was breached. At maturity, Margaret received shares of the semiconductor company worth approximately \$79,000 instead of her \$125,000 principal in that note, resulting in a net loss of approximately \$34,000 on that position after accounting for the coupon payments she received. The other two notes matured without breaching their barriers, and she received full principal plus coupons. Her overall net loss across all three positions was approximately \$21,500 after total coupon income.

Margaret filed a complaint stating she understood she could lose "some" money but did not truly grasp how

the barrier mechanism could convert her fixed-income-like investment into a losing equity position. She said she thought the 70% barrier meant it was "very unlikely" she would lose money, and that Barlow had described the barrier levels as "conservative" during their meeting. Barlow disputes this characterization and points to his documented explanation and her signed acknowledgment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuinely competing considerations.

Arguments that Barlow violated applicable standards:

1. Margaret's documented investment profile - moderate risk tolerance, growth-and-income objective, no prior structured product or individual equity ownership, and reliance on portfolio income - creates tension with a product that embeds meaningful equity downside risk. Reverse convertibles are frequently cited in regulatory guidance (FINRA Regulatory Notices 10-09 and 12-03) as products that may be unsuitable for retail investors seeking income, because the investor assumes equity-like downside risk in exchange for enhanced coupon payments, which can be misleading when compared to traditional fixed-income alternatives.
2. Under FINRA Rule 2111 (and Regulation Best Interest's care obligation), the advisor must have a reasonable basis for believing the recommendation is suitable not merely in the abstract but for this particular customer. Margaret's entire portfolio history was in investment-grade fixed income; the reverse convertibles represented a dramatic departure in risk profile. The fact that 20% of her liquid assets were placed in products with potential for significant principal loss raises concentration concerns for a retiree who needs portfolio withdrawals.
3. FINRA RN 09-73 specifically flags that firms and advisors must ensure customers understand complex products, and that signed acknowledgment forms alone are insufficient evidence of understanding. Margaret's after-the-fact statements suggest she conflated the high coupon and barrier structure with safety, a common misunderstanding that the advisor has an obligation to address and verify.
4. The "conservative" characterization of barrier levels (if it occurred) would be materially misleading. Even if Barlow disputes using that word, his notes do not affirmatively document that he corrected any misperceptions about the probability of barrier breach.

Arguments that Barlow acted appropriately:

1. Margaret is not an unsophisticated investor. She has 35 years of finance experience, managed a pension fund, and has professional-level understanding of financial concepts. Her questions about dividend impact on pricing and barrier mechanics suggest genuine comprehension, not passive acceptance.
2. The allocation was 20% of liquid assets - meaningful but not overwhelming. The remaining 80% of her portfolio remained in conservative fixed-income instruments. Diversification across three different sector-linked notes also mitigated single-stock concentration risk.
3. Barlow conducted a 90-minute meeting, walked through payoff diagrams, provided disclosure supplements, and documented the discussion. This exceeds the level of diligence many advisors provide. Under Reg BI's care obligation, advisors must exercise reasonable diligence and skill; Barlow's process appears thorough.
4. Margaret's stated objective of wanting to outperform CDs and money markets, combined with a 10-15

year time horizon and moderate risk tolerance, arguably supports an allocation to yield-enhancing products. Reverse convertibles with 30% downside buffers from A-rated issuers are among the more conservative structured note offerings available.

5. The net overall loss of \$21,500 across \$370,000 invested (approximately 5.8%) was driven by an unforeseeable geopolitical event. Two of three notes performed exactly as described. Suitability should be evaluated at the time of recommendation, not based on outcome.

6. Under FINRA Rule 2111's customer-specific suitability component, a moderate-risk investor with professional finance experience who affirmatively requests yield-enhancing alternatives is arguably a reasonable candidate for limited reverse convertible exposure.

Regulation Best Interest (applicable if this occurred after June 30, 2020) adds a disclosure obligation and a care obligation requiring the advisor to consider reasonably available alternatives. Barlow would need to demonstrate he considered whether other income-generating strategies (e.g., high-yield bonds, dividend stocks, covered call strategies) could have met Margaret's yield objective with a more suitable risk profile. If he did not document consideration of alternatives, this weakens his position under Reg BI even if it might have survived under the prior suitability standard alone.

Why Borderline

This is a genuine gray area because the customer's documented profile (moderate risk, income-oriented, no structured product history) conflicts with her professional background (decades of institutional finance experience, pension fund oversight, sophisticated questions during the sales process). The allocation size (20%) is meaningful but not extreme. The product itself - reverse convertibles with 30% barriers from an A-rated issuer - sits in a middle ground between clearly inappropriate (e.g., selling autocallables to elderly fixed-income investors) and clearly suitable (e.g., recommending structured notes to a hedge fund manager). Reasonable compliance officers could disagree on whether Margaret's professional background and verbal representations overcome her documented account profile, and whether Barlow's extensive disclosure process satisfies his obligations when the customer's post-loss statements suggest she did not fully internalize the downside scenario.

Borderline Factors

- Customer has extensive professional finance background (35 years, CPA, pension fund management) but no personal portfolio history with equities, derivatives, or structured products
- Risk tolerance documented as 'moderate' - reverse convertibles with equity-linked downside may or may not fall within moderate risk depending on allocation size and barrier levels
- 20% allocation to structured notes is substantial for a retiree but not an overwhelming concentration given the remaining conservative portfolio
- Advisor conducted thorough 90-minute documented explanation with payoff diagrams, but post-loss customer statements suggest incomplete understanding of key risk
- Signed acknowledgment of risk exists, but regulatory guidance holds that acknowledgments alone are insufficient evidence of true customer understanding
- Customer affirmatively requested yield enhancement above money market rates, potentially constituting an unsolicited element to the recommendation
- Barrier levels at 70% (30% downside buffer) are relatively protective compared to many reverse convertibles, but the product still embeds full equity downside below the barrier
- Loss was driven by an unforeseeable geopolitical event; suitability is evaluated at time of

recommendation, not by outcome

- Disputed factual question about whether advisor characterized barriers as 'conservative,' which if true would be materially misleading

Likely Outcome

A regulator would most likely find a violation, though possibly a lesser one focused on inadequate reasonable-basis suitability and documentation of alternatives considered rather than outright fraud or egregious unsuitability. The key factors favoring a finding of violation are: (1) Margaret's documented account profile (moderate risk, no structured product experience) creates a presumption of unsuitability that the advisor must overcome with strong evidence; (2) under Reg BI, Barlow would need to demonstrate he considered reasonably available alternatives to meet her yield objective, and there is no indication he documented such analysis; (3) regulatory guidance in FINRA RN 10-09 and 12-03 specifically warns that reverse convertibles may be unsuitable for income-seeking retail investors because the risk-return profile is fundamentally asymmetric (capped upside via coupons, uncapped downside via equity exposure), and Margaret's complaint narrative is precisely the type of misunderstanding these notices flag; (4) the gap between Margaret's verbal sophistication and her documented profile creates ambiguity that the advisor bore the burden of resolving through more rigorous documentation. However, the sanction would likely be moderate - enhanced supervision, possible fine, and potential restitution - rather than severe, given the genuine evidence of disclosure effort and the customer's professional background. A FINRA arbitration panel might split on liability, and a hearing panel might find a violation of FINRA Rules 2111 and 2010 while acknowledging mitigating factors.